



Report No: ICR00117

IMPLEMENTATION COMPLETION AND RESULTS REPORT

IDA-60040 and IDA-60050

ON A

CREDIT

IN THE AMOUNT OF EURO 94.4 MILLION AND SDR 189.7 MILLION
(US\$356.7 MILLION EQUIVALENT)

TO THE
PEOPLE'S REPUBLIC OF BANGLADESH

FOR
Bangladesh Investment Promotion and Financing Facility Project II (IPFF II)
March 4, 2025

Finance, Competitiveness and Investment
South Asia



CURRENCY EQUIVALENTS

(Exchange Rate Effective February 28, 2017)

Currency Unit = Bangladesh Taka
(BDT), US Dollars
(US\$), and Euro

1 SDR = 1.3538 US\$

1 Euro = 1.0603 US\$

1 US\$ = 79.700 BDT

FISCAL YEAR

July 1 – June 30

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**ABBREVIATIONS AND ACRONYMS**

BB	Bangladesh Bank
BIFFL	Bangladesh Infrastructure Finance Fund Limited
BSEC	Bangladesh Securities and Exchange Commission
CPF	Country Partnership Framework
DFIs	Development Finance Institutions
DLIs	Disbursement Linked Indicators
DSCR	Debt Service Coverage Ratio
ESIA	Environment and Social Impact Assessment
ESMS	Environment and Social Management System
ESMU	Environment and Social Safeguard Management Unit
ESPP	Environmental and Social Policy and Procedure
ESRM	Environment and Social Risk Management
FDI	Foreign Direct Investment
GHG	Greenhouse Gas
GoB	Government of Bangladesh
IDCOL	Infrastructure Development Company Limited
JCAP	Joint Capital Markets Program
LDC	Least Developed Country
LMIC	Lower Middle-Income Country
LTPP	Long-Term Perspective Plan
M&E	Monitoring and Evaluation
NBFI	Non-Banking Financial Institution
NPL	Non-Performing Loan
PBCs	Performance Based Conditions
PFI	Participating Financial Institution
PforR	Program for Results
PIU	Project Implementation Unit
PPP	Public Private Partnership
PPPA	Public-Private Partnership Authority
PSC	Public Service Commission
SEZ	Special Economic Zone
TA	Technical Assistance
ToC	Theory of Change
UMIC	Upper Middle-Income Country
WBG	World Bank Group



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**DATA SHEET****BASIC DATA****Product Information**

Operation ID P159429	Operation Name Bangladesh Investment Promotion and Financing Facility Project II (IPFF II)
Product Investment Project Financing (IPF)	Operation Short Name BD IPFF II
Operation Status Closed	Approval Fiscal Year 2017
Original EA Category Financial Intermediary Assessment (F) (Approval package - 05 Apr 2017)	Current EA Category Financial Intermediary Assessment (F) (Restructuring Data Sheet - 30 Apr 2024)

CLIENTS

Borrower/Recipient PEOPLE'S REPUBLIC OF BANGLADESH	Implementing Agency Bangladesh Bank
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DEVELOPMENT OBJECTIVE

Original Development Objective (Approved as part of Approval Package on 05-Apr-2017)

The PDO is to increase long-term financing for infrastructure and to build capacity of the local financial institutions for promoting private sector-led infrastructure financing in Bangladesh.

FINANCING

Financing Source	Original Amount (US\$)	Revised Amount (US\$)	Actual Disbursed (US\$)
World Bank Financing	356,700,000.00	248,582,972.19	255,095,371.39



IDA-60050	256,700,000.00	151,415,791.65	155,009,244.61
IDA-60040	100,000,000.00	97,167,180.54	100,086,126.78
Non-World Bank Financing	60,000,000.00	60,000,000.00	31,400,919.28
Borrower/Recipient	60,000,000.00	60,000,000.00	31,400,919.28
Total	416,700,000.00	308,582,972.19	286,496,290.67

RESTRUCTURING AND/OR ADDITIONAL FINANCING

Date(s)	Type	Amount Disbursed (US\$M)	Key Revisions
14-Jun-2022	Portal	183.49	• Results • Disbursement Estimates • Loan Closing Date Extension • Implementation Schedule
23-Mar-2023	Portal	183.49	• Components • Loan Cancellations • Reallocations
25-Jun-2023	Portal	207.06	• Components • Results • Reallocations
30-Apr-2024	Portal	255.01	• Loan Cancellations • Reallocations

KEY DATES

Key Events	Planned Date	Actual Date
Concept Review	14-Jun-2016	14-Jun-2016
Authorize Negotiations	14-Feb-2017	09-Feb-2017
Approval	05-Apr-2017	05-Apr-2017
Signing		05-Nov-2017
Effectiveness		22-Jan-2018
ICR/NCO	29-Dec-2024	--
Restructuring Sequence.01	Not Applicable	14-Jun-2022
Restructuring Sequence.02	Not Applicable	23-Mar-2023
Restructuring Sequence.03	Not Applicable	25-Jun-2023



Restructuring Sequence.04	Not Applicable	30-Apr-2024
Mid-Term Review No. 01	19-Oct-2020	20-Dec-2020
Operation Closing/Cancellation	30-Apr-2024	30-Apr-2024

RATINGS SUMMARY

Outcome	Bank Performance	M&E Quality
Moderately Satisfactory	Moderately Satisfactory	Substantial

ISR RATINGS

No.	Date ISR Archived	DO Rating	IP Rating	Actual Disbursements (US\$M)
01	23-Jul-2017	Satisfactory	Satisfactory	0.00
02	22-Jan-2018	Satisfactory	Moderately Satisfactory	0.00
03	19-Jul-2018	Satisfactory	Moderately Satisfactory	10.98
04	17-Jan-2019	Moderately Satisfactory	Moderately Satisfactory	10.98
05	16-Jul-2019	Moderately Satisfactory	Moderately Satisfactory	39.96
06	17-Jan-2020	Moderately Satisfactory	Moderately Satisfactory	73.65
07	17-Jul-2020	Moderately Satisfactory	Moderately Satisfactory	113.57
08	26-Jan-2021	Moderately Satisfactory	Moderately Satisfactory	113.57
09	24-Dec-2021	Moderately Satisfactory	Moderately Satisfactory	153.55
10	29-Jul-2022	Moderately Satisfactory	Moderately Satisfactory	183.49
11	22-Mar-2023	Moderately Satisfactory	Moderately Satisfactory	183.49
12	19-Sep-2023	Moderately Satisfactory	Moderately Satisfactory	217.47

SECTORS AND THEMES

Sectors

Major Sector	Sector	%	Adaptation	Mitigation
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			Co-benefits (%)	Co-benefits (%)
FY17 - Financial Sector	FY17 - Banking Institutions	50	0	8
	FY17 - Other Non-bank Financial Institutions	50	0	0

Themes

Major Theme	Theme (Level 2)	Theme (Level 3)	%
FY17 - Environment and Natural Resource Management	FY17 - Climate change	FY17 - Mitigation	4
FY17 - Finance	FY17 - Finance for Development	FY17 - Infrastructure Finance	100
FY17 - Private Sector Development	FY17 - Public Private Partnerships		3

**ADM STAFF**

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I. PROJECT CONTEXT AND DEVELOPMENT OBJECTIVES**A. CONTEXT AT APPRAISAL****a. Country Context**

1. **At the time of appraisal, Bangladesh was maintaining an above-average growth rate of 6.2 percent since 2010, outperforming many developing countries.** Poverty rates were on a continuous decline, and the proportion of the population below the US\$ 1.9 per day threshold stood at 12.9 percent in 2016. Backed by robust macroeconomic fundamentals, a structural shift from agriculture to industry and service sectors, strong remittance inflows, and export growth, Bangladesh graduated to a Lower Middle-Income Country (LMIC) status with a Gross National Income (GNI) per capita of US\$ 1,220 in July 2014. Sustaining economic growth and poverty reduction required the creation of more and improved jobs, given the projected addition of 21 million people to its working-age population in the forthcoming decade.
2. **Underinvestment in crucial infrastructure, such as energy, logistics, transportation, industrial zones, fiber optic networks and urban infrastructure were binding constraints to growth.** The Government of Bangladesh (GoB)'s seventh Five Year Plan (2016 – 2020) estimated the cumulative investment needs at US\$ 410 billion across the plan period that corresponded to an annual investment requirement of 7-8 percent of GDP to enhance the country's infrastructure standards. This would require the country to look beyond traditional concessional financing backed by budgetary resources; and mobilize substantial investments corresponding to a minimum of 2 percent of GDP from the private sector.

b. Sector Context

3. **The financial system in Bangladesh was dominated by commercial banks engaged primarily in trade finance and limited medium-term corporate finance.** Institutional investor base comprising of insurance companies and mutual funds were small, the securities market was largely underdeveloped, and the bond market comprised of government securities with low liquidity and an inactive market for corporate bonds. Commercial banks offered term-lending with low maturity cycles spanning only 5-6 years, which created asset-liability mismatches and was inadequate for the deserving infrastructure projects that had 20-30 years of economic life. Long-term financing for infrastructure was inhibited by a large base of impaired assets, a rising share of non-performing loans (NPLs), and constrained credit underwriting capacity. Limited international capital inflow was exacerbated by a low country rating, absence of sovereign debt issuances, and macro-prudential policies that restricted external borrowings by the Bangladesh Bank (BB). Absence of market-based yield curve, lack of institutional investors and, above all, weak policy framework made leveraging domestic capital markets challenging, which led to the selection of on-lending mechanism as the preferred option during project design.

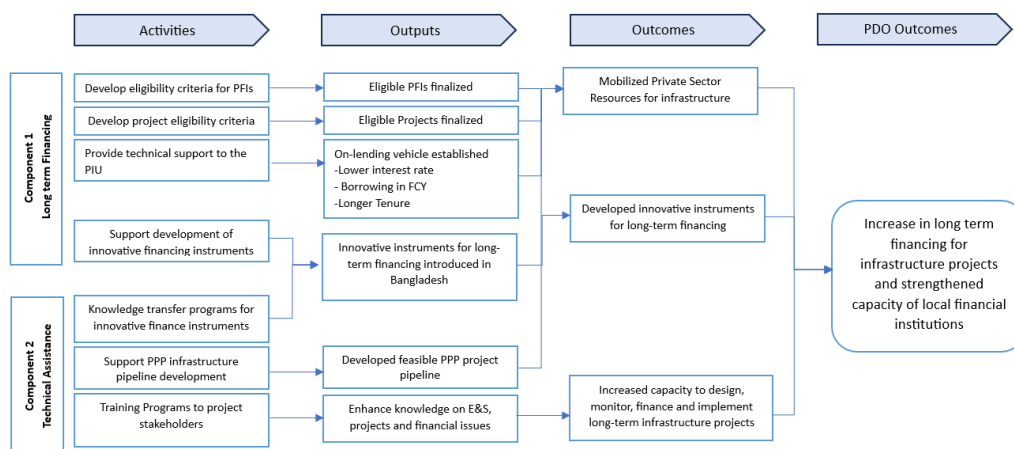


4. **Domestic banks in Bangladesh faced significant limitations in lending for long-term infrastructure financing.** Limited access to foreign exchange currency borrowings and longer-term Bangladeshi Taka resources restricted the ability of Bangladeshi banks to provide long-maturity loans in both local and foreign currencies. The reliance on variable-rate resources further constrained the capacity of domestic banks to offer fixed-term loans – an accepted “best practice” for infrastructure projects. While infrastructure projects were allowed to seek cross-border funding from foreign banks, these needed administrative approvals which often involved capping of interest rates.
5. **The financial sector has evolved since appraisal with a policy shift to private sector financing of infrastructure, however implementation has been challenging.** Green finance and sustainability have gained prominence, and while efforts to deepen capital markets continue, banks still dominate long-term financing landscape which has limited the growth of alternative funding avenues. The long-standing financial vulnerabilities were exacerbated by the Covid-19 pandemic, Russia’s invasion of Ukraine, and the political unrest in July and August 2024. Private investment fell to 23.51 percent of GDP in FY24 down from 24.18 percent in FY23, below the target of increasing the share to 27 percent of GDP by FY25 under the eighth Five Year Plan.

c. **Rationale for World Bank support**

6. **The challenges facing infrastructure development in Bangladesh necessitated a dual approach focusing on both the demand and supply sides of the economy.** On the demand side, ensuring credible infrastructure projects and developing a robust pipeline of PPP projects were critical challenges. On the supply side, efforts to deepen bond markets, transition from administrative to market-driven interest rates, and enhanced access to financial instruments like fixed-rate loans and subordinated debt, were needed. The WBG, with its deep-rooted global expertise in upstream transaction on PPP pipelines and strong implementation experience on long-term financing for infrastructure investments in Bangladesh under the IPFF project was well posed to support the GoB. This would, in turn, crowd-in private sector resources by leveraging IDA resources, support the development of innovative financial instruments, and strengthen market capacity for infrastructure financing in Bangladesh.

Theory of Change (Results Chain)



7. **The IPFF II project focused on the provision of an on-lending instrument with longer tenure at an affordable interest rate, complemented by capacity building support to mobilize additional private sector finance and concurrently develop innovative financing instruments for long-term infrastructure projects in Bangladesh.** A Theory of Change (TOC) was not mandatory at the time of project preparation. Accordingly, a new TOC was developed as part of the ICR process to demonstrate the channel of reforms under IPFF II (Schematic given above).



Project Development Objectives

8. **The project's development objective (PDO)** is to "increase long-term financing for infrastructure and to build capacity of the local financial institutions for promoting private sector-led infrastructure financing in Bangladesh." The PDO was not changed during the project period.

Key Expected Outcomes and Outcome Indicators

9. **The project aimed to achieve the following key outcomes:** (i) Increased long-term financing for infrastructure; and (ii) strengthened capacity of local financial institutions for promoting private sector led infrastructure financing. These key outcomes remained valid and unchanged throughout the project period.
10. **At appraisal, the key project outcome was measured by four PDO indicators that included:** i) Private capital mobilized (measured by the amount of direct financing in the form of equity and / or debt mobilized by private sector); (ii) Total investments in infrastructure under IPFF II (measured by the total amount of equity and debt financing from IPFF II, the GoB, and the financial institutions in the market); (iii) Long term debt financing for infrastructure under IPFF II (measured by provision of long-term debt over 5 years for infrastructure financing in supported subprojects); and (iv) Equity investments from the private sector entrepreneurs under IPFF II (measured by provision of equity by private subproject sponsors and other investors for infrastructure subprojects). The end target for indicator (iii) was revised downwards as part of the June 2023 restructuring to account for partial cancellation.

Components

11. The project was envisaged to finance two components for a cumulative US\$356.7 million IDA financing at appraisal. During implementation, this amount went through two partial cancellations in June 2023 and April 2024. At completion, the project had disbursed a cumulative US\$255.1 million including US\$1.31 million under the TA component.
- Component 1:** Long-Term Infrastructure Financing Component (US\$346.7 million). This component was designed to provide long-term funds to Participating Financial Institutions (PFIs) for further on-lending and investment in support of long-term infrastructure investments by private sector investors/companies.
- Component 2:** Technical Assistance Component (US\$10.0 million) to support infrastructure investment capacity building.

B. SIGNIFICANT CHANGES DURING IMPLEMENTATION

12. **The project underwent a total of four Level 2 restructurings.** These restructurings were processed in June 2022, March 2023, June 2023, and April 2024, respectively.
13. **The first restructuring involved a no-cost extension of the closing date by 22 months from the initial June 30, 2022 to April 30, 2024.** It was requested by the GoB in June 2021 and processed in June 2022. The rationale for the extension was to recoup the initial implementation lag of one year, to compensate for the delays caused by the COVID-19 pandemic, and to work on pipeline adjustments, as bidding process of a few subprojects in the initial pipeline¹ were cancelled by the GoB. Despite these delays, by the restructuring date, US\$ 184 million had been disbursed and a credible pipeline of subprojects was developed, which strengthened the rationale for the extension.
14. **The second restructuring involved a partial cancellation of US\$100 million equivalent from Component 1 and was processed on March 26, 2023.** This was based on the GoB's request for re-purposing of the amount to other strategic priorities, such as policy lending for addressing more pressing macroeconomic imperatives.
15. **The third restructuring was processed on June 21, 2023, and involved a reallocation of US\$7 million IDA and an unutilized US\$1.5 million GoB funding from Component 2 to Component 1 at the GoB's request.** Additionally, it reflected the changes in the financing agreement to cover financial allocations under the two IDA credits used to finance the project in lieu of the partial cancellation processed on March 26, 2023. US\$ 195 million or 74 percent of

¹ Details for the subproject selection process provided under the IPFF II Operations Manual which can be accessed via (<https://www.bb.org.bd/mediaroom/circulars/ipff/mar132018ipff01e.pdf>)



the total project allocation had been disbursed at the time of the restructuring; however, disbursements were slow, notably for the TA support to the Public-Private Partnership Authority (PPPA) under Component 2.

16. **The fourth restructuring was processed on April 28, 2024.** This included cancellation of the undisbursed IDA balances prior to the closing date of April 30, 2024 for recommitment to other strategic priorities of the GoB.

Revised PDOs and Outcome Targets

17. **The third restructuring that was processed on June 21, 2023, involved changes to the results framework.** These changes included: (i) a downward revision to the end target for the PDO indicator on “Long term debt financing for infrastructure under IPFF II” from US\$ 406 million to US\$ 312.2 million; (ii) introduction of a new intermediate indicator on Jobs supported by IPFF II with an end target of 10,000; and (iii) changes in the definition of the intermediate indicator on female beneficiaries from “benefiting from” to “employed by” the financed subprojects.

Rationale for Changes and their Implication on the Original Theory of Change

18. **The restructurings had no material impact on the project’s broader objective and the TOC during implementation.** The changes involved extension of project timeline, reallocation between project components, partial cancellations, and minor changes to the project’s results framework. The reduced funding and downward revision of a PDO level indicator target, however, decreased the scope of the project and triggered a split rating.

II. OUTCOME

A. RELEVANCE OF PDOs

Assessment of Relevance of PDOs and Rating

19. **At project closing, the PDO as well as the areas of intervention outlined under IPFF II continue to remain highly relevant for the country and well aligned with the World Bank Group’s Country Partnership Framework (CPF) for Bangladesh².** The CPF, anchored to the GoB’s eighth Five Year Plan (2021 – 2025), was in sync with the country’s goal to graduate from LDC status by 2026 and achieve UMIC status by 2031. The CPF outlines that a diversified and competitive private sector is imperative for driving growth and job creation in Bangladesh. It highlights the need to mobilize private sector financing and the simultaneous need to strengthen institutions and markets for infrastructure development in Bangladesh given the envisaged decline in concessional financing resulting from LDC graduation.
20. **The project priorities remain relevant and contribute to multiple objectives of the CPF.** The project’s focus are relevant under the Higher-Level Objective (HLO) A of the CPF: “Increased private sector jobs”, which also list the IPFF II as a key contributor. Objective 1: “Improved business environment for broad-based private sector development,” that emphasizes the need to enable the entry of new businesses, unlock trade and export diversification through Special Economic Zones (SEZs), and foster technology adoption and innovation among Bangladeshi firms, is an ongoing priority that aligns well with the PDO. Additionally, CPF Objective 2: “Strengthened financial intermediation to support long term growth and resilience,” which underscores the need to improve investor confidence and underlying market infrastructure to promote long-term financing, and CPF Objective 3: “Improved effectiveness of public institutions to deliver better services to citizens and businesses”, which incorporates the strengthening of the institutional framework for PPPs and development of a robust PPP pipeline, are also aligned with the PDO.
21. **The PDO is also in sync with the GoB’s development priorities as outlined in its Eighth Five Year Plan (8th FYP) 2021-25 and the Long-Term Perspective Plan (LTPP) 2021-41.** The 8th FYP envisages an accelerated economic growth driven by investments, both domestic and foreign. The share of domestic private investment is targeted to grow from the current 70 percent to 75 percent of total investments. Furthermore, the share of Foreign Direct Investment (FDI) as a percentage of GDP is expected to increase to 3 percent, from the current 1 percent. Realizing these targets

² FY23–27; Report No. 181003-BD, discussed by the World Bank Board of Executive Directors on April 27, 2023



necessitates a strong financial sector, mobilization of long-term financing, and scaling up of private investments within Bangladesh.

22. **The rating for the PDO relevance is Substantial.** The project has remained highly relevant to both the WBG's CPF and the GoB's priorities at the time of closure. There are, however, minor differences, particularly in the approach to financial sector development and mobilization of long-term finance for development where the current CPF orients towards the development of domestic capital markets, insurance and pension sectors, and the strengthening of the credit guarantee system. IPFF II, on the other hand, had prioritized an on-lending mechanism and the use of established banking channels, including the strengthening of PFIs, which are not explicit focus areas under the current CPF.

B. ACHIEVEMENT OF PDOs (EFFICACY)

Assessment of Achievement of Each Objective/Outcome

23. **The project has two core objectives, namely: (i) increasing long-term financing for infrastructure, and (ii) building capacity of local financial institutions to mobilize such financing.** Despite initial implementation lags, pipeline adjustment processes, and challenges exogenous to the project, IPFF II was able to disburse almost the entire IDA allocation (after the March 2023 partial cancellation) under the long-term financing component and 43 percent of the technical assistance component. The project substantially surpassed the target values for 3 of the 4 PDO indicators and has been acknowledged as noteworthy by clients, PFIs, and private investors in promoting market-based solutions for infrastructure development in Bangladesh.
24. **Upon the GoB's request, a partial cancellation of US\$ 100 million was processed based on changed macroeconomic imperatives despite the presence of a pipeline of subprojects to absorb the entire allocation. A subsequent restructuring that included a reallocation of US\$ 7 million under IDA and an unutilized TA component of US\$ 1.5 million under the GoB component, and changes to the results framework was reflected in the Financing Agreement on June 21, 2023.** This resulted in the end-target for the PDO indicator on "Long-term debt financing for infrastructure under IPFF II" to be revised downwards from US\$ 406.7 million to US\$ 312.2 million. This narrowed the project scope and outcome, prompting the need to apply a split-rating to evaluate the project's efficacy. For the split-ratings, a rating of 56 percent (for disbursements prior to June 21, 2023) and 44 percent (post June) have been applied.

Objective 1: Increasing Long-Term Infrastructure Financing

25. **The project aimed to sustain the back-to-back on-lending facility, continuing the approach established by its predecessor IPFF project.** The project disbursed US\$ 253.7 million from IDA resources and US\$ 30.8 million from GoB counterpart funding to 12 subprojects across diverse infrastructure sectors, including private economic zones, Information and Communication Technology (ICT), port development, renewable energy, and solid waste management. The project mobilized US\$ 687.2 million of private capital (including US\$ 479.5 million unlocked under equity investments) from the private sector and led to US\$ 971.7 million investment in infrastructure. The leverage ratio (defined by total private capital mobilized i.e. US\$ 687.2 million to total amount on-lent i.e. 284.5 million) is 2.41, which is significantly high. Overall, the project substantially exceeded three of the four PDO outcome targets and achieved over 90 percent of the target for the indicator on long-term debt financing.
26. **The project successfully mobilized significant long-term debt financing of US\$ 284.5 million including US\$ 253.7 million from IDA and US\$ 30.8 million from GoB.** The project was able to fully disburse the revised IDA allocation under Component 1, however, the disbursement under the GoB component was slow with a utilization rate of around 53 percent of the revised allocation. The project has been able to generate substantial equity investments from private sector entrepreneurs amounting to US\$ 479.5 million - over 5 times the targeted amount of US\$ 95 million, surpassing the long-term debt mobilized under the predecessor IPFF project. This demonstrates the ability of long-term finance to de-risk infrastructure subprojects through stability and predictability that can leverage substantial equity capital.



Objective 2: Building Capacity of Local Financial Institutions

27. **The TA Component was designed to provide continuity to the TA support under the predecessor IPFF project and to further strengthen the long-term financing ecosystem in Bangladesh.** The component focused on four key areas, namely: (i) development of an infrastructure subproject pipeline, including PPPs, (ii) Strengthened E&S risk management capacity of the private sector, (iii) Development of new long-term infrastructure finance instruments, and (iv) Support for project implementation. While this component was not featured in the PDO indicators, the desired results were appropriately identified and tracked under the Intermediate Results Indicators.
28. **The project stipulated a list of 14 standard conditions for listed PFIs to be eligible to avail financing through the project.** The standard conditions³ were carefully identified during project preparation in accordance with international good practice. Adherence to these conditions demonstrates quality standards and financial health of local financial institutions (FIs) in Bangladesh, which ensured satisfactory financial performance of participating PFIs. Out of the 21 FIs that originally met the criteria and became listed PFIs, 18 or roughly 85 percent remained fully compliant until project closing date.
29. **The project supported various capacity building trainings and workshops to strengthen capacity of key stakeholders.** Substantial support amounting to US\$ 1.9 million, including US\$ 1.3 million from IDA and US\$ 0.6 million under GoB resources, that corresponded to roughly 42 percent under the TA component, were utilized. Out of the amount utilized, the Project Implementation Unit (PIU) in Bangladesh Bank absorbed US\$ 1.7 million and the Bangladesh Infrastructure Finance Fund Limited (BIFFL) utilized US\$ 0.2 million under the TA component. US\$ 1.1 million of the TA allocation that was reserved for price and physical contingency remained unutilized. The TA utilization included the delivery of 23 capacity building trainings and workshops that benefitted 484 participants from GoB agencies and PFIs. The trainings spanned topics across infrastructure financing, project management, PPPs, capital markets innovation, procurement, financial risk analysis, and E&S safeguards which were identified as relevant areas during the project initiation stage. Additional efforts to build capacity could not materialize on account of the COVID-19 pandemic and thereafter on account of the austerity measures undertaken by the GoB.
30. **An IPFF-supported infrastructure PPP project pipeline and the financing through innovative financing instruments could not be developed.** (i) **PPPA:** The low absorptive capacity of PPPA, exacerbated by Covid, resulted in non-utilization of the earmarked US\$ 5.0 million TA funds to support PPP transaction advisory and support services, which had to be later revised to US\$ 0.3 million. No PPP projects developed by the PPPA were supported by the project on account of lengthy transactions advisory ecosystem not in sync with the IPFF II timeline, low market response and limited appetite from PFIs. (ii) **BIFFL:** Another US\$ 1.9 million was earmarked for BIFFL, and while three services packages to support the development of innovative financial products, E&S frameworks, and subproject due diligence were procured by the BIFFL for a lower cumulative amount of US\$ 0.3 million, these did not lead to the materialization of innovative financing instruments.

Justification of Overall Efficacy Rating

31. **Disbursement prior to June 21, 2023, was US\$ 142.2 million.** This included IDA disbursements to seven of the twelve financed subprojects⁴. The post June 21 disbursements of US\$ 111.5 million from the IDA allocation financed the remaining five subprojects. The disbursement data on the TA was not included in the computation as relevant data was not readily available. However, given the low amount, the impact of TA on the overall disbursement rate would be negligible. The project was able to disburse US\$ 284.5 million that corresponded to 91 percent of the total

³ These conditions include: Compliance with regulatory licensing requirements, adequacy of provisions, positive rate of real return, capital adequacy ratio, leverage ratio, foreign currency net open position, non-performing loan (NPL) ratio, single or business group borrower exposure, insider lending ratio, external credit rating, three years' audited and clean financial accounts, policy documents to establish professional and sound management, environmental and social risk management, and annual external auditors' certification.

⁴ The subprojects included: City Economic Zone Limited, Technaf SolarTech Energy Limited, Raw Tech Limited, Summit Communications Limited, Meghna Industrial Economic Zone Limited, Bangladesh Technosity Limited, and Karnafuly Dry Dock Limited.



allocation of US\$ 312.2 million under Component 1 and US\$ 1.9 million or 41.8 percent of the total allocation of US\$ 4.5 million under Component 2.

32. **Both the pre-June 21, 2023 and post-June 21, 2023 ratings are “Satisfactory”.** Notwithstanding the initial project initiation lags, the project team was able to make a quick turnaround and step up disbursements to subprojects. The pace of disbursements accelerated significantly post June 21, 2023, wherein IDA disbursements⁵ totaled 44 percent of the overall disbursements were made within a period of ten months. However, it did not significantly impact the PDO Indicator on “Long Term Debt Financing from IPFF II”.

C. EFFICIENCY

33. **The project aimed to pass through the benefits of longer tenure and the associated lower annual debt-service costs to private sector sponsors for financing of infrastructure subprojects in Bangladesh.** In an environment of scarce long-term institutional funding, the project extended resources to PFIs for up to 20 years, which were passed on to finance private sector infrastructure subprojects. Furthermore, the project enabled access to foreign currency borrowings and unlocked the option to borrow long-term in both local and foreign currencies under both variable and fixed interest rates. The expectation was that these flexible benefits would collectively outweigh the compliance costs (especially on E&S safeguards) associated with access to the IPFF II facility; and crowd-in private sector investment in infrastructure by aligning with longer subproject durations, reducing costs through lower interest rates and extended repayment periods, and thereby ensuring access to more stable long-term funding sources by the project closing date.
34. **For every US\$ 100 equivalent IDA funds under the IPFF II facility, over US\$ 270 worth of private capital was mobilized.** This enabled the financing of over US\$ 971.7 million investment in infrastructure projects across priority sectors. The predecessor IPFF project mobilized US\$ 250 as investment in infrastructure for every US\$ 100, which suggests that the mobilization was 8 percent higher under the current project. The financial indicators for the subprojects are also sound, with the project’s Internal Rate of Return (IRR) ranging between 9.70 percent to a maximum of 23.74 percent. Furthermore, the Debt Service Coverage Ratio⁶ (DSCR) for 10 out of the 12 subprojects is positive and higher than 1.2 times which is a common benchmark for infrastructure projects. The broader profitability indicators, measured by the Return on Assets (ROA) and the Return on Equity (ROE), are also both positive and sound. The average ROA for the subprojects range between 4.07 percent to 13.75 percent while the average ROE ranges between 8.43 percent to 46.74 percent. A summary of the key financial indicators has been provided in Annex 4 : Efficiency Analysis.
35. **The major impact of IPFF II is on the reduction in debt-service obligations resulting from the increase tenure and reduced interest rate (compared to standard terms) for long-term financing offered by PFIs in Bangladesh.** During the project lifecycle, the average tenure of term lending in Bangladesh extended by two years: from the earlier eight years to ten years, which can be partly attributed to the demonstration effect of the IPFF II. Overall, the project offered a tenure of fourteen years on average (compared to eight years by the market) and an interest rate of 6 to 8 percent (compared to 11 to 13 percent offered by the market). The standalone impact of six additional years in tenure under the IPFF II facility led to a reduction of the monthly debt service payment amount by an estimated 24 percent. Similarly, the standalone impact of a 5-6 percent reduction in the interest rate contributed to the reduction in the monthly debt service payment amount by an estimated 28 percent⁷. The combined impact of these two contributions under IPFF II is estimated to reduce the monthly debt-service obligations by as much as 48 percent compared to long-term lending offerings by banks and financial institutions in Bangladesh.

⁵ IDA disbursements excluding disbursements under the TA component

⁶ This includes DSCR data calculated on annual cash basis for year 2 or year 4 as available

⁷ Author’s calculations



36. **The TA component provided capacity building training to 484 participants, including 87 female staff members across project beneficiaries and stakeholder institutions.** This covered E&S capacity development for 183 participants and capacity strengthening to conduct credit and financial analysis for 179 participants. While the number of beneficiaries from these trainings alone cannot substantiate the enhanced capacity of local financial institutions, it has resulted in increased awareness on issues pertinent to infrastructure financing, contributing to a more vibrant and competitive private sector-led infrastructure development ecosystem.
37. **The project overcame initial delays, navigated issues during implementation, and adopted a flexible approach in ensuring timely disbursements and achievement of PDO indicators.** There were shortcomings, particularly on the engagement with the PPPA where the project had envisaged financing subprojects developed by the Authority. However, no PPP subprojects were eventually supported under IPFF II on account of low market response and limited PFI appetite. Additionally, the intended support to develop innovative financial instruments, critical for a sustainable long-term financing market did not materialize.

Assessment of Efficiency and Rating

38. **The overall efficiency is rated as Substantial.** This is based on the project's success in passing through the benefit of longer tenure and the associated lower annual debt-service cost to private sector sponsors for financing of infrastructure projects in Bangladesh. Furthermore, the financial indicators of financed subprojects are robust, and the project mobilized over US\$ 270 for every US\$ 100 under the IPFF II facility. The project also provided much-needed technical support and capacity building to project beneficiaries and stakeholder institutions.

D. JUSTIFICATION OF OVERALL OUTCOME RATING

39. **The overall outcome rating is assessed as Moderately Satisfactory.** This is backed by strong disbursements and achievement of the PDO indicator targets. However, the project was not able to deploy any innovative financial instrument as planned, and as such, was not able to change the status quo on the capital markets front.

Table 1: Justification of Overall Rating

Details	Original Objectives and Targets without restructuring	Revised Objectives and/or targets with restructuring
Relevance of PDO	Substantial	
Efficacy (PDO)	Substantial	Substantial
Increase long term financing for infrastructure (Component 1)	Modest	Substantial
Build Capacity of local FIs (Component 2)	Modest	Modest
Efficiency	Substantial	
1. Outcome Ratings	Moderately Satisfactory	Satisfactory
1. Numerical Value of the Outcome Ratings	4	5
2. Disbursement ⁸	142,204,113.99	111,486,318.83
3. Share of Disbursement	0.56	0.44
4. Weighted value of the outcome rating (2*4)	2.24	2.2
5. Final Outcome rating	Moderately Satisfactory (2.24+2.2 = 4.24)	

⁸ Based on data for disbursements under IDA allocation excluding disbursements under TA component amounting to \$1.3 million



E. OTHER OUTCOMES AND IMPACTS

Gender

40. **The project resulted in significant employment for women directly under the supported subprojects.** At appraisal, the project did not identify project relevant gender gaps and the implementation measures to address these gaps. It did however include an intermediate results indicator to measure the female beneficiaries from the project, which was later reworded to include female beneficiaries directly employed by the project. The project directly employed 4,487 female employees or approximately 18 percent of the total direct employment generated from the subprojects. The project also financed the training of 87 female staff on core areas to support infrastructure financing, including project management, financial analysis, and environment and social assessments. Furthermore, the rigorous compliance measures supported by the project have, directly and indirectly, encouraged the employment of women, removal of gender discrimination in the workplace, equality of pay, and availability of adequate infrastructure to cater to specific needs of women employees to ensure safe working conditions.

Mobilizing Private Sector Financing

41. **The project aimed to contribute to long-term financing and mobilization of additional equity and debt capital to support private sector led infrastructure development in Bangladesh.** The project successfully mobilized US\$ 687.2 million in private capital, approximately 2.65 times the targeted amount of US\$ 260 million, which is a significant and noteworthy achievement. Furthermore, the project enabled over US\$ 971.7 million of infrastructure investments (approximately 1.6 times the targeted amount of US\$ 610 million) and mobilized a formidable US\$ 497.5 million in equity investments from the private sector entrepreneurs (over 5 times the targeted amount of US\$ 95 million). Consequently, financial institutions in Bangladesh are now more willing to invest in long-term projects, making syndicated loans with tenures of eight to ten years increasingly common. This can be corroborated by the steady and above average increase in term loans to industries which grew at a CAGR 14.5 percent, increasing from US\$ 11 billion in June 2017 to US\$28.5 billion in June 2024⁹. The average tenure for long-term loans under the project was fourteen years¹⁰, which was significantly longer than the loan tenure currently offered by the financial sector in Bangladesh¹¹. This has instilled considerable confidence amongst financiers within Bangladesh, strengthened their risk management capabilities and enhanced their appetite for longer tenure financing.

Institutional Strengthening

42. **The overarching goal of the IPFF II was to pave the way for a sustainable, private sector-led, long-term infrastructure financing platform.** In this regard, capacity development via the TA support under Component 2 was envisaged to support strengthening of the institutional capacity of key government institutions, the PFIs, and the private sponsors. The project supported significant capacity strengthening on areas covering E&S risk management, project management, financial analysis, risk evaluation, and M&E to support government institutions, PFIs and subproject sponsors. As a result, PFIs and subproject sponsors are better able to address E&S risks and can cater to the stringent compliance requirements for access to sustainable financing sources.

III. KEY FACTORS AFFECTED IMPLEMENTATION AND OUTCOME

A. KEY FACTORS DURING PREPARATION

43. **The project was ambitious in its objectives, yet the implementation arrangements were simple and incorporated the learnings from the predecessor IPFF project.** The implementation modality included a single PIU which would lend to PFIs that met stringent eligibility criteria. In essence, the project was designed to leverage the inherent strengths of financial institutions, develop their capacity, crowd-in private sector resources, and demonstrate successful transactions to address the long-term financing gap for infrastructure in Bangladesh. All this would help

⁹ Bank Advances (Private Sector) by Economic Purposes, Bank of Bangladesh

¹⁰ IPFF II financed projects with loan tenures between 10-20 years.

¹¹ As on September 30, 2024 outstanding industrial term financing is BDT 3,594,982.11 million and weighted average interest rate is 12.43%.



address the inherent market gaps faced by commercial banks, including constraints on foreign currency lending, for a longer tenure and on a fixed-rate basis. The securities market that holds the core responsibility for long-term financing was at a nascent stage during appraisal and did not have adequate capacity to deploy financial instruments to mobilize long-term financing for the private sector.

44. **The project correctly identified the need for TA support to build institutional capacity, including on E&S compliance and upstream engagement for developing a pipeline of PPP subprojects, but failed to account for potential changes in institutional priorities of select government-backed developmental financial institutions (DFIs).** The envisaged support to BIFFL, a key DFI, did not have the desired impacts, particularly on the capacity enhancement on E&S safeguards. The PPPA, which was identified as a critical project stakeholder and beneficiary, could not utilize the allocated funds for capacity development. Given limited institutional ownership in both PPPA and BIFFL, capacity constraints could not be resolved through the planned TA support and innovative financial instruments could not be developed. The PPP subproject pipeline also faced challenges, and a few subprojects identified during preparation could not materialize due to cancellation of the bidding process by the line ministries, the WBG's change on fuel policy, and limited market interest for E&S compliance. These factors impacted the creation of conducive market for long-term financing to finance infrastructure projects in Bangladesh which were envisaged during appraisal.

B. KEY FACTORS DURING IMPLEMENTATION

a. Factors subject to control of the Government or implementing entities

45. **Inherent problems in the Bangladesh financial system constrained long-term financing throughout implementation.** Poor governance, high level of related party lending and weak supervision of banks impacted operations. Distortions caused by interest rate caps¹², and crowding out effect from government debt instruments such as National Savings Certificates also impeded the development of capital market instruments envisioned under the project¹³.
46. **Lack of coordination between implementing agencies was a key issue that impacted operations.** The GoB did not intervene in a timely manner to ensure institutional engagement and ownership of the project by the PPPA, which is an autonomous institution. The changes in leadership impacted the organization's institutional orientation for the long-term financing development agenda, and its willingness and ability to access support under the project. Furthermore, the BIFFL could not effectively absorb the envisaged TA support due to internal capacity issues, which could have been better addressed via timely intervention and coordination. It is to be noted that the PIU housed in BB ably led project implementation and continuously engaged with the WB team and select DFIs but lacked the mandate to provide oversight or guidance to the two key project beneficiaries PPPA and BIFFL.
47. **The leadership and commitment of strategic partner institutions was not emphasized adequately during operations.** The Bangladesh Securities and Exchange Commission (BSEC) was not a direct beneficiary under the project design but plays a critical approving and regulatory role in enabling the development and deployment of innovative financing instruments. It was critical for the GoB to engage with the BSEC as an independent regulator of the securities market at a strategic level to accelerate the approval of bonds issued by PFIs. Without the appropriate level of coordination and collaboration between BB and BSEC, the two main regulators for the money market and capital markets in Bangladesh, diversifying the financing instruments in the long-term investments space will continue to remain constrained.
48. **Private sector orientation and sectoral knowledge development are critical components that need more emphasis and support.** The Bangladeshi private sector faces acute capacity limitations on rigorous subproject evaluation, financial analytics, and E&S compliance, which needs further strengthening and support. While PFIs and subproject

¹² The lending rate cap of 9 percent was introduced in April 2020 to boost private sector growth, creating new jobs and decreasing the cost of business for borrowers. However, this put pressure on banks' net interest margins (NIMs) and exacerbated the issue with non-performing loans (NPLs) as the capped rates did not sufficiently price in default risk.

¹³ Following the regime change in August 2024, the new interim government and Bangladesh Bank are introducing key reforms to address banking sector asset quality and governance issues. These include strengthening of asset classification, related party and ultimate beneficial ownership regulations. In addition, draft legislations on bank resolution and deposit protection are being prepared to strengthen financial safety nets.



sponsors were included in some of the trainings and capacity building initiatives, the PIU and the GoB could have done more to proactively identify appropriate high-impact trainings and further extend capacity building efforts across PFIs and the private sector.

b. Factors subject to World Bank Control

- 49. The World Bank demonstrated limited proactivity to expedite decisions that would accelerate implementation.** Delays on approvals and no-objections increased uncertainty, affected the decision-making ability of PFIs, and impacted the overall project timeline. While the primary driver of these delays were incomplete package submissions, it did result in delays as the bank team had to ensure that the proposals, particularly on the E&S safeguards were compliant with the Bank's standards. Decisions on subproject eligibility to avail the financing facility took time, which had a bearing on the negotiations between the PFIs and the subproject sponsors. Introduction of pre-approval conditions for eligibility were not explored, which could have better managed the uncertainty levels in PFIs and private sector sponsors. While the PFIs acknowledged the approachability of the World Bank team, delays on proper guidance, particularly on procurement, impacted the TA component, and resulted in a sub-par achievement of intended outcomes.

c. Factors outside the control of the government or implementing entities

- 50. Project implementation was affected by problems inherent in the Bangladesh financial system and by range of exogenous shocks.** This included (among others) the COVID-19 pandemic which greatly impacted procurement and construction at of subprojects for over a year. Supply disruptions due to the pandemic and Russia's invasion of Ukraine impacted downstream operations, resulting in delays in the timely achievement of commercial operations, and disturbed the debt servicing cycle for select subprojects. The austerity measures undertaken by the GoB, that included the suspension of overseas training and capacity building opportunities, led to low TA absorption, which hindered the project's objective of building the capacity of local FIs to the desired level.

IV. BANK PERFORMANCE, COMPLIANCE ISSUES, AND RISK TO DEVELOPMENT OUTCOME

A. QUALITY OF MONITORING AND EVALUATION (M&E)

M&E Design

- 51. The M&E Framework and Results table of the project were developed in compliance with the World Bank guidelines, aiming to comprehensively capture the project's impacts as represented by the PDO.** The PDO indicators for developing long-term financing included sponsors' equity, debt financing from IPFF II, and the additional equity and debt crowded in from the market. Three PDO indicators were coined to capture the total volume of finance leveraged through the market and the differential impacts of leveraging equity and debt. Given the aspiration of piloting capital markets instruments under the project, an indicator was included on the volume of innovative financing. However, the catalytic role of the project in creating jobs was not captured during the M&E design at entry, and the indicator on job creation was subsequently added during project restructuring.

M&E Implementation

- 52. The BB coordinated the M&E process.** Data was generated in the field, recorded by the sponsor, vetted and channeled by the PFIs, and collected by BB which formally reported it to the World Bank team. Hence, to ensure the quality and accuracy of data, the integrity of the data collection and reporting was envisioned early on during project preparation. To maintain regularity and discipline in the M&E process, subproject related data were collected at quarterly intervals.
- 53. While overseeing the overall implementation, BB ensured that the PFIs verified the status of the subprojects by on-site inspections conducted at least semi-annually and prepared pipeline progress reports covering outstanding loans under the project.** As a practice, results tables were formally updated before every implementation support mission, which were usually carried out every six months (except during the pandemic), and the formal reporting was documented in the mission Aide Memoires. The updates were shared by the Bank team to the MoF through the Aide Memoires and occasionally consulted with the Project Steering Committee at the MoF for clarification on the pace of



progress and for advice on course corrections. The indicators developed in the Results Framework were monitored biannually.

M&E Utilization

54. **The quality of project M&E was rated Moderately Satisfactory and above throughout the project.** The findings of the M&E were used to adjust resource allocation, inform decision making and modify project implementation. Periodic updates were received on a timely manner from the PIU and annual external audits were conducted by the Public Service Commission (PSC) after completion of every financial year during the project tenure.
55. **The overall implementation and utilization of the M&E tools were interrupted by the fallout of COVID-19.** Results monitoring for the TA component is of special mention in this context. Offices of the PPPA were non-operational for several months and there were no meetings with the PPPA. As such, both BB and the World Bank failed to meet PPPA officials for a lengthy period, which negatively affected PPPA related intermediate indicators.

Justification of Overall Rating of Quality of M&E

56. There was no particular concern or issue regarding project M&E at any time during the project implementation period. The overall quality of M&E at ICR is, therefore, rated as **“Substantial”**.

B. ENVIRONMENTAL, SOCIAL, AND FIDUCIARY COMPLIANCE

Environmental and Social Safeguards

57. **IPFF II is one of the very few World Bank projects that has adopted the OP 4.03 (Performance Standards for Private Sector Activities), which was applicable to the project and all subprojects.** At appraisal, the E&S Risk for the Project was rated as Substantial owing to a broad sectoral scope of eligible subprojects and their spatial distribution across Bangladesh. A range of mitigation measures were proposed under a consolidated project framework approach, that included application of a robust E&S management system, reduction in GHG emissions through adoptions of cleaner and efficient sources of energy, institutional capacity building and systematic outreach. A tri-generation system will be installed in the power plants of two Economic Zones to efficiently produce electricity, industrial process steam, and chilled water for space cooling using absorption cooling technology which is expected to reduce GHG emissions.
58. **During project preparation, the project’s safeguard document, the World Bank team provided substantial support to develop the ESPP (Environmental and Social Policy and Procedure) largely due to lack of experience on OP 4.03 in Bangladesh.** The ESPP document includes the performance rating selection procedures and organizational requirements of PFIs and incorporates the E&S risk rating methodology for subprojects. At the project preparation stage, BB had already developed a document on ‘Guidelines on Environmental & Social Risk Management (ESRM) for Banks and Financial Institutions in Bangladesh’. This document was based on IFC’s Private Sector requirements and adoption of this document by the board/management of PFIs was made mandatory in the ESPP document. The ESRM has since been adopted by Bangladesh Bank for all its lending portfolio.
59. **The poor quality of Environmental and Social Impact Assessments (ESIAs) was cited as a challenge throughout the project, and the lack of capacity in the country to prepare good quality ESIs continues to remain a critical challenge.** ESIs were mandatory for all subprojects seeking IPFF II support. However, largely due to the absence of ESIA accredited consultants in Bangladesh, difficulties arose in selection that resulted in a low-bid selection and hampered the ESIA quality. The PIU’s active engagement with entrepreneurs in the preparation of the ESIs, including preliminary reviews of the draft ESIA documents, helped reduce the need for multiple reviews and iterations by the World Bank team, and to some extent assuaged the challenges on the ESIA process

Citizen Engagement

60. **Citizen Engagement Surveys were conducted in three of the twelve financed subprojects due to COVID-19 delays:** The surveys included a combination of quantitative and qualitative analysis and adopted a concurrent triangulation mixed method design to gauge the satisfaction levels of the citizens and beneficiaries on the functions, effectiveness, and efficiency of the surveyed subprojects. The surveys highlighted a non-functioning GRM Redress Mechanism, a



weak citizen engagement process, poor infrastructure for factory workers, and an overall weak monitoring system as key problems. The absence of an Environment and Social Safeguard Management Unit (ESMU) and an E&S focal person in the subprojects has impacted the E&S management and monitoring and led to deterioration of the overall citizen response to the E&S aspects of the subprojects.

Financial Management

61. **The Financial Management (FM) capacity in terms of planning, budgeting, staffing, and internal controls were adequate, report submissions were timely, and overall compliance was acceptable from an FM perspective.** This was backed by a strong PIU with adequate staffing and knowledge of WBG projects. All expenses were incurred and activities completed by the project closing date. The final unaudited financial reports were duly submitted by the PIU and reviewed by the World Bank team. The PIU has submitted the reports in an excel spreadsheet format, but it would be prudent to submit reports through the procurement software that is already under implementation. Overall, the FM performance was rated as satisfactory throughout the project.

Procurement

62. **The WBG's procurement regulations were applicable to goods, works, and consulting services under Component 2 only.** Component 1 that included an on-lending component to private sponsors through the PFIs was required to follow acceptable commercial practices in compliance with the Operations Manual developed by the PIU. BB, BIFFL, and PPPA were the three institutions designated to procure goods and services under Component 2, with initial earmarked amounts of US\$ 6.1 million, US\$ 1.9 million, and US\$ 5 million respectively, with the PIU holding the authority to sign final contracts and disburse payments.
63. **The procurement assessment carried out for BB during appraisal indicated a Moderate risk in procurement operations and contract management.** This was backed by the extensive experience of the BB in implementing WBG-financed projects, including the project's predecessor IPFF project. By project closing date, BB had utilized the major share of the TA support with US\$ 1.71 million, and the final TA utilization was over 90 percent. BIFFL faced procurement issues but managed to utilize project funds to procure consultants to support the development of E&S Framework and subproject due diligence works for a lower amount of US\$ 0.31 million. The PPPA demonstrated low absorptive capacity and did not avail any financing from the project to procure PPP transactions advisory and legal support services as planned during appraisal. The WBG team provided support including training on STEP and procurement guidelines, and all procurement works that were initiated were concluded effectively.
64. **Procurement rating was rated as Moderately Satisfactory or above in the ISRs.** The notable exception was on the January 2020 ISR where the rating was downgraded to Moderately Unsatisfactory due to procurement delays and issues at the BIFFL and the PPPA. The rating at the last ISR was upgraded to Satisfactory as all outstanding procurement issues had been addressed.

C. BANK PERFORMANCE

Quality at Entry

65. **The technical merits of the project were assessed during the preparation process, which drew upon the takeaways from implementation of original IPFF project as well.** Multiple rounds of consultations with project stakeholders including the government counterparts, PFIs, and international PPP and long-term finance experts, were immensely beneficial in structuring the project design. The impetus to pilot the innovative financing instruments drew heavily on capital market development experiences of the WBG and other development partners. The context for such piloting was deemed appropriate and timely given the fact that long-term project financing in Bangladesh followed a corporate financing approach rather than a project financing approach, as reflected in the shorter term-financing loan tenures of the commercial banks and non-banking financial institutions.
66. **The biggest missing part in the project design was the non-inclusion of BSEC, the capital markets regulator, as a co-implementing agency in the project, given the project's target to support the issuance of innovative capital markets instruments such as subproject bonds, infrastructure bonds, and securitized bonds.** While the Bank team realized



this during the mid-term review which led to the initiation of course correction measures, the lack of coordination between the two regulators (BB and BSEC) did not allow this course correction to fully bear fruit and the BSEC remained out of the project.

Quality of Supervision

67. **On the quality of project supervision, a big plus for IPFF II was that it started with a legacy of high supervision standards under the predecessor IPFF project from both the BB and World Bank sides, which largely continued seamlessly.** As such, except for the subprojects with complex E&S parameters, delays in securing 'no objections' were within reasonable limits. In most cases, the financing applications submitted by the PFIs were work-in-progress, especially in the case of the E&S documents. Given the country constraints, the E&S assessments and drafting/revision processes typically took many months for each subproject; and the processing of 'no objections' had to remain stalled pending successful completion of the Safeguards protocols as set up in the project ESPP document.
68. **No objections could not be processed for some subprojects that were in the initial pipeline, due to the WBG's policy change in 2018 on financing coal-fired power plants.** While the related private investors and the PFIs had been advancing the project activities aiming to clear the World Bank filters, due to policy change the World Bank team had to communicate the ineligibility of the subprojects in availing IPFF II funding.
69. **One significant improvement over the predecessor IPFF project was in the response time on procurement processing.** Unlike in the original IPFF project, IPFF II did not require review of the GoB bidding process, and the procurement documents associated with award of contracts to the private enterprise by the line ministry, thanks to the World Bank's deregulation of procurement policies for projects with private sector as the beneficiary.
70. **The World Bank team kept the project design simple with a single implementing agency.** Having one implementing agency often proved useful in ensuring smooth implementation. In hindsight, however, because the project aimed to achieve higher level results by supporting the issuance of bonds and securitized instruments, the inclusion of BSEC as a co-implementing agency or, at least, as an explicit recipient of TA resources, would have made a great difference. The World Bank team repeatedly encouraged the PIU to reach out to BSEC for on-lending via capital market instruments, but this was not seamless.

Justification of Overall Rating of Bank Performance

71. **Combining the ratings for quality at entry and quality of supervision, the overall World Bank performance is "Moderately Satisfactory".** The Bank team utilized the lessons from previous operations which resulted in a simple project design with a single implementation agency with strong implementation capacity. The major shortcoming was on the non-inclusion of the BSEC from the design stage itself. Additionally, the change in WBG's policy on coal plants led to delays that impacted the decision timelines for the private sector investors and the PFIs.

D. RISK TO DEVELOPMENT OUTCOME

72. **The World Bank's involvement has notably unlocked interest from local and foreign investors, providing substantial benefits to subproject sponsors and proving essential for securing long-term infrastructure financing.** The project has also sparked active engagement from bilateral and multilateral institutions, who are now increasingly committed to continue the long-term financing agenda. The World Bank also continues to provide technical assistance to support this agenda under the ongoing JCAP program. Despite these advancements, there remains a gap between the demand and supply of long-term financing, with commercial bank financing still serving as the primary vehicle for financing. There is a need to support continuous reforms, both at the policy and practice levels, to strengthen the supply of long-term financing for infrastructure. Addressing E&S issues necessitates strengthening of the Department of Environment and the establishment of a robust accreditation standard for quality assessments. Further, developing a pipeline of viable PPP subprojects and introducing innovative capital market instruments are multi-agency challenges that need to be addressed in a coordinated manner.



73. **The project came extremely close in supporting a corporate bond issuance for long-term finance but fell short at the last moment as the plan was called off by the interested private sponsor.** The WBG's continued emphasis on market-driven solutions, and the imperative to introduce innovative financing instruments to finance private sector development of infrastructure has provided a meaningful contribution in enhancing the knowledge and understanding of PFIs, who now have structured finance divisions in place and continue to prioritize the issuance of bonds and other innovative instruments for long-term finance. There are additional capacity development needs, and the financial sector reform agenda, including on long-term finance for infrastructure, continues to remain a priority for the WBG.

V. LESSONS AND RECOMMENDATIONS

74. **Procurement challenges impacted the BIFFL's ability to utilize IPFF II funds to develop and offer innovative financial products, but there are broader challenges that need to be addressed to establish the organization's role as a specialized financial institution for long-term financing.** As a market participant, BIFFL is also exposed to the broader challenges faced by the financial markets in Bangladesh, where high perceived risks and underlying credit risks significantly deter long-term infrastructure financing. The high level of NPLs amplify the fear of credit defaults, which is more pronounced in infrastructure project financing given the inherent uncertainty and potential for financial loss. Consequently, banks and Non-Banking Financial Institutions (NBFIs) prefer to stick to traditional lending practices rather than venture into untested financial products tailored for infrastructure development.
75. **Sponsors who availed fixed-term BDT loans were not exposed to the interest rate volatility risks, however the uptake was low and only two business groups availed this benefit.** This indicates capacity constraints by the private sector in analyzing interest rate risk perspectives, considering the long tenure of loans under IPFF II. This is an example of cultural issues surrounding the financial sector that inhibits the uptake of innovative instruments in Bangladesh. The benefits of the fixed rate loans should be better documented and communicated as a viable option to ensure that the broader financial sector and private investor community understands the benefits. Such fixed term loans can also be a useful segue into bond issuances and other innovative transactions, which currently are not preferred in Bangladesh due to the high returns on government issued securities.
76. **The GoB should proactively offer incentives to stimulate the demand and uptake of bonds and other innovative instruments.** Currently, banks do not enjoy tax benefits for investments in bonds, which discourages their participation. Furthermore, in an environment of high risk-free rates, alongside substantial NPLs, it becomes challenging to mobilize low-cost, longer tenure loans, which are critical for infrastructure projects. NBFIs such as the BIFFL and IDCOL, instead of promoting their institutional mandate to lead long-term financing for infrastructure, are known to seek guarantees from BFIs as a risk management strategy. This has effectively increased the market's over-reliance on banking institutions which face their own capacity limitations to mobilize long-term finance.
77. **There is no substitute for a comprehensive subproject evaluation process from a bankability perspective.** It requires a culmination of reviews from experts encompassing technical, E&S, and financial domains. Capacity to evaluate subprojects needs to be bolstered, and effective accreditation standards need to be developed to ensure that high quality is prioritized over low cost. On the institutional side, the GoB must lead from the front by supporting the designated NBFIs to enhance their capacity to evaluate and support infrastructure subprojects.
78. **Incentives are needed to influence desired policy action, which makes the project design and lending instrument critical for project's sustainability.** The project relied upon stringent eligibility criteria, project evaluation and risk-sharing with BFIs to finance sub-projects. It was successful in achieving the assigned targets but could not contribute towards a sustainable mechanism for long-term finance beyond the project in a sustainable manner. While this was not a direct target of the intervention, it was and continues to be the binding constraint for enabling investments for infrastructure in Bangladesh. From an instrument perspective, it is challenging to conclude if other bank instruments, would have been a better choice. However, considering the challenges on initial high costs and extended payback periods, blended finance instruments can be introduced to attract private sector investment. Furthermore, instruments such as partial credit guarantees, or first-loss capital provisions could be particularly valuable for projects



that yield substantial social and environmental benefits. Participants from the PFIs and the borrowers have highlighted the need for WBG involvement on de-risking projects, which makes it plausible to explore the ideas of appropriate derisking and risk-sharing facilities for future operations.



ANNEX 1. RESULTS FRAMEWORK AND KEY OUTPUTS

A. RESULTS FRAMEWORK

PDO Indicators by Outcomes

Increasing long-term financing for infrastructure & building capacity of the local fin. institutions								
Indicator Name	Baseline		Closing Period (Original)		Closing Period (Current)		Actual Achieved at Completion	
	Result	Month/Year	Result	Month/Year	Result	Month/Year	Result	Month/Year
Equity investments from private sector entrepreneurs under IPFF II (Amount(USD))	0.00	Jun/2017			95,000,000.00	Apr/2024	479,540,000	Apr/2024
Long term debt financing for infrastructure under IPFF II (Amount(USD))	0.00	Jun/2017			312,200,000.00	Apr/2024	284,530,000	Apr/2024
	Comments on achieving targets		The end target for this PDO indicator was revised downwards from US\$406.7 million to US\$312.2 million on account of the partial cancellation and reallocation between components.					
Total investments in infrastructure under IPFF II (Amount(USD))	0.00	Jun/2017			610,000,000.00	Apr/2024	971,740,000.00	Apr/2024
	Comments on achieving targets		This indicator combines all debt and equity financing mobilized and crowded in from all private and public sector sources through the IPFF II Project platform.					
Private Capital Mobilized (Amount(USD))	0.00	Jun/2017			260,000,000.00	Apr/2024	687,210,000.00	Apr/2024

Intermediate Indicators by Components

Intermediate Results Indicators				
Indicator Name	Baseline	Closing Period (Original)	Closing Period (Current)	Actual Achieved at Completion



	Result	Month/Year	Result	Month/Year	Result	Month/Year	Result	Month/Year
Financing volumes through innovative financial instruments deployed for financing of infrastructure (Amount(USD))	0.00	Jun/2017			30,000,000.00	Apr/2024	0.00	Apr/2024
	Comments on achieving targets		Not accomplished					
At least 20 domestic financial institutions use IPFF II credit line (Number)	0.00	Jun/2017			20.00	Apr/2024	21.00	Apr/2024
Female beneficiaries from IPFF II (Number)	0.00	Jun/2017			200.00	Apr/2024	4,487.00	Apr/2024
	Comments on achieving targets		In the June 2023 restructuring, this indicator was redefined to replace “directly benefiting from” with “directly employed by”, where such direct employment would exclude short-term construction labor.					
Affected citizens' satisfaction with infrastructure subprojects (Percentage)	0.00	Jun/2017			75.00	Apr/2024	51.80	Apr/2024
	Comments on achieving targets		Aggregate data on Primary and Secondary Stakeholders' Opinion for 3 of 12 subprojects ;					
PFI maintain eligibility criteria (Percentage)	0.00	Jun/2017			100.00	Apr/2024	100.00	Apr/2024
Jobs supported by IPFF II (Number)	0.00	Jun/2017			10,000.00	Apr/2024	24,103.00	Apr/2024
	Comments on achieving targets		The Mid-Term Review Mission (January 2021) noted that the supported infrastructure subprojects are expected to contribute to the creation of a significant number of full-time jobs by the Project closing date, and that during a forthcoming restructuring, this mtrc would be included in the Results Framework as an indicator. The June 2023 restructuring introduced this new indicator with a baseline of 'zero' and target number of 10,000.					
The capacity of financial institutions participating in IPFF II to undertake financial analysis of infrastructure projects is strengthened - number of staff trained (Number)	0.00	Jun/2017			200.00	Apr/2024	179.00	Apr/2024
Environmental assessments are undertaken for all infrastructure projects financed under the facility in coordination with the DoE (Percentage)	0.00	Jun/2017			100.00	Apr/2024	100.00	Aug/2023



E&S capacity developed; staff trained (Number)	0.00	Jun/2017			200.00	Apr/2024	183.00	Apr/2024
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ANNEX 2. BANK LENDING AND IMPLEMENTATION SUPPORT/SUPERVISION

A. TASK TEAM MEMBERS

Name	Role
Suhail Kassim	Team Leader
Md. Didarul Islam	Financial Management Specialist
Fatema Samdani Roshni	Procurement Specialist
Sayed Mujtaba Shobair	Environmental Specialist
M. Khaliquzzaman	Environmental Specialist
Kirti Nishan Chakma	Social Specialist
Sabah Moyeen	Social Specialist
Rocio Mariela Malpica Valera	Counsel
Vidya Venugopal	Counsel
Shahnun Nima Tania	Procurement Team
Shourov Kumar Sharma	Procurement Team
Mehar Khan	Team Member
Sridharan Srinivasan	Team Member
Satish Kumar Shivakumar	Team Member
Prashant Raj Pandey	Team Member
Ifedolapo Mary Borisade	Team Member

B. STAFF TIME & COST

Stage of Project Cycle	Staff Time & Cost	
	No. of Staff Weeks	US\$ (including travel and consultant costs)
Preparation		
FY16	4.675	16,856.94
FY17	51.725	311,088.49



FY18	0.200	1,207.12
Total	56.60	329,152.55
Supervision/ICR		
FY17	0.000	26.79
FY18	33.538	173,324.61
FY19	31.118	192,420.55
FY20	23.432	122,083.39
FY21	30.275	136,180.13
FY22	30.378	155,307.49
FY23	42.657	236,514.68
FY24	24.538	187,962.48
FY25	10.865	36,938.17
Total	226.80	1,240,758.29

ANNEX 3. PROJECT COST BY COMPONENT

Component	Amount at Approval (US\$M)	Actual at Project Closing (US\$M)
Long-Term Infrastructure Financing Component	312.2	284.5



Technical Assistance Component

4.5

1.9



ANNEX 4. EFFICIENCY ANALYSIS

1. Background

The efficiency analysis for IPFF II is contingent on the merits of the subprojects to be financed, which were not finalized at the time of appraisal. As such, the relevant indicators, and the specific methodology for evaluating the project's impact, were also not specified during appraisal. However, given the experience of the successful implementation of the project's predecessor IPFF project, the economic and financial indicators from IPFF have been used as a proxy for comparison.

The Economic and Financial Analysis of IPFF II will encompass the broader contribution of the twelve supported subprojects, including the sectoral contributions, the relevant disbursement indicators vis a vis the private capital mobilized, the anticipated reduction in debt service obligations, and the project specific indicators of the respective subprojects. Where possible, the results are compared with the predecessor IPFF project to provide a holistic understanding of the project's impacts.

1.1. Economic Analysis

The IPFF II project has invested in twelve subprojects under five key sectors: Information and Communication Technology, Private Economic Zones, Port Development, Renewable Energy, and Solid Waste Management. Collectively, these subprojects have enhanced the infrastructure capacity for Bangladesh in the respective subsectors. The major sectoral achievements have been summarized in the following table:

Table 2: Summary of Key Achievements across key investment sectors under IPFF II

Sector	No. of Subprojects	Major Achievements
Information and Communication Technology (ICT)	4	Upgradation of the Nationwide Telecommunication Transmission Network by an additional 15,887 kms, network capacity improvements over 1,154 + kms and establishment of a state-of-the-art data center with 500 racks capacity.
Private Economic Zones	5	State of the art Economic Zones that provide comprehensive infrastructure facilities for establishment of manufacturing industries and IT parks.
Port Development	1	Setup of a dry dock for ship building and repairing with a capacity of 100,000 Deadweight Tonnage (DWT) – 5 times higher than the existing capacity in Bangladesh.
Renewable Energy	1	Refinancing support for improving financial metrics for a 20 MW solar plant
Solid Waste Management	1	Recycling capacity of 5000 MT of waste PET bottles per year

1.1.1. Private Capital Mobilization and Job Creation

In addition to the sectoral achievements, the subprojects directly mobilized an additional US\$ 687.2 million of private capital and generated 24,103 additional jobs, of which around 18 percent or 4,487 jobs were for women. Furthermore, given the pivotal role of infrastructure projects in driving economic growth, investments in the subprojects is expected to have profound implications in the form of indirect and induced benefits that encompass setup of new businesses and

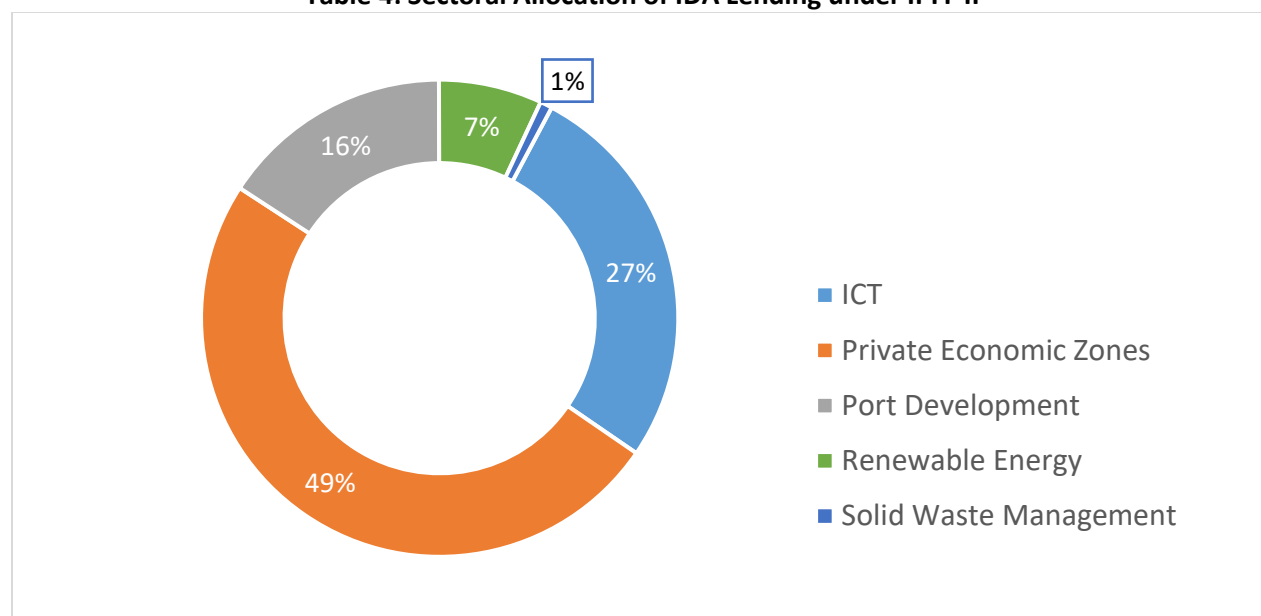


creation of additional employment opportunities. While the estimation of the full scale of indirect and induced benefits is beyond the scope of the analysis, their quantification would be critical to understand the overall potential contributions of the project.

Table 3: Investment in US\$ Million across key sectors under IPFF II

Sector	Average Project Cost	Average Equity Investment	Average IPFF II Lending	Average IPFF II Lending (IDA)	Average Non-IPFF II Loan	Total IPFF II Lending (IDA)	Average loan tenure
ICT	42.15	14.35	17.86	17.0	9.95	67.97	15
Private Economic Zones	131.18	68.47	30.65	25.17	26.20	125.86	13.8
Port Development	99.13	59.13	39.99	39.99	0.00	39.99	15
Renewable Energy	35.56	11.04	17.78	17.78	6.74	17.78	13
Solid Waste Management	4.51	1.57	2.069	2.07	0.85	2.069	10

Table 4: Sectoral Allocation of IDA Lending under IPFF II



1.1.2. Reduction in Debt Service Obligations due to lower interest and longer tenure

The major impact of IPFF II is on the reduction in debt-service obligations based on the increase tenure and the reduced interest rate (compared to standard terms) for long-term financing offered by PFIs in Bangladesh. Furthermore, the project contributed to an increase in overall tenure of lending from PFIs from the earlier eight years to ten years, which marks an increase of 25 percent. Overall, the project offered a tenure of fourteen years on average (compared to eight years by the market) and an interest rate of 6 percent (compared to 12 percent offered by the market).



The standalone impact of six additional years in tenure under the IPFF II facility results in a reduction of the monthly debt service payment amount by approximately 24 percent. Similarly, the standalone impact of a 6 percent point reduction in the interest rate contributes to a reduction in the monthly debt service payment amount by 28 percent. The combined impact of the two contributions under the IPFF II is estimated to reduce the monthly debt-service obligations by as much as 48 percent compared to long-term lending offerings by banks and financial institutions in Bangladesh.

Table 5: Snapshot of Economic Impacts from IPFF II for the Economic Zones

Description	IPFF II Loan	Non-IPFF or Market Loan
Average Loan size	US\$ 27.39 Million	US\$ 27.39 Million
Tenure	14 years	8 years
Interest Rate	6%	12%
Monthly Instalment Amount	US\$ 241,370	US\$ 445,165

1.1.3. Economic Benefits from Technical Assistance Component

The TA component provided capacity building training to 484 participants, including 87 women across project beneficiaries and stakeholder institutions. This covered E&S capacity development for 183 participants and capacity strengthening to conduct credit and financial analysis to 179 participants. While the number of beneficiaries from these trainings alone cannot substantiate the enhanced capacity of local financial institutions, it has resulted in increased awareness on issues pertinent to infrastructure financing.

1.2. Financial Analysis

Methodology for computation of aggregate indicators: To enable computing aggregate indicators for financial analyses and comparison with the IPFF I project, the major financial indicators have been aggregated using a methodology that has been highlighted hereunder:

1.2.1. Return on Equity (ROE)

The aggregate Return on Equity (ROE) indicator for each subproject (ROE_Avg_i) is obtained by averaging the multi-year ROE data shared by the PIU for the subproject.

$$ROE_Avg_i = \sum_{j=1}^{n_i} ROE_{i,j}$$

- ROE_{i,j} represents the Return on Equity for the i-th subproject in the j-th year.
- n_i represent the number of years for which ROE data is available for the i-th subproject.
- ROE_Avg_i represents the average ROE for the i-th subproject.

1.2.2. Return on Assets (ROA)

The aggregate Return on Equity (ROA) indicator for each subproject (ROA_Avg_i) is obtained by averaging the multi-year ROA data shared by the PIU for the subproject.

$$ROA_Avg_i = \sum_{j=1}^{n_i} ROA_{i,j}$$

- ROA_{i,j} represents the Return on Equity for the i-th project in the j-th year.
- n_i represent the number of years for which ROE data is available for the i-th project.
- ROA_Avg_i represents the average ROE for the i-th project.



1.2.3. Debt Service Coverage Ratio (DSCR)

The aggregate DSCR indicator for each subproject ($DSCR_{Avg_i}$) includes the DSCR at inception for each subproject, which includes available data for the second or the fourth year

$$DSCR_{Avg_i} = \begin{cases} DSCR_{i,2} & \text{if data for year 2 is available} \\ DSCR_{i,4} & \text{if data for year 2 is not available} \end{cases}$$

- $DSCR_{i,j}$ represents the Debt Service Coverage Ratio for the i-th subproject in the j-th year.
- n_i represent the number of years for which DSCR data is available for the i-th subproject.
- $DSCR_{Avg_i}$ represents the average DSCR for the i-th subproject.

1.2.4. Internal Rate of Return (IRR)

A summary of the financial indicators for the subprojects under IPFF II has been provided in Table 4. This includes the reported indicator on the Internal Rate of Return (IRR) as shared by the PIU for each subproject.

1.3. Summary of Financial Indicators

The financial indicators for the subprojects financed under IPFF II are sound with the IRR ranging between 9.70 percent to a maximum of 23.74 percent. Furthermore, the DSCR for 10 out of the 12 subprojects is positive and higher than 1.2 which is a common threshold for infrastructure projects. The broader profitability indicators, measured by the Return on Assets (ROA) and the Return on Equity (ROE) are also both positive and sound. The average ROA for the subprojects range between 4.07 percent to 13.75 percent while the average ROE ranges between 8.43 percent to 46.74 percent.

Table 6: Summary of Financial Indicators for Subprojects under IPFF II

S.N.	SUBPROJECT	IRR	ROA	ROE	DSCR
1.	Bangladesh Technosity Limited	17.32%	11.71%	46.74%	2.34
2.	Meghna Industrial Economic Zone Limited	12.10%	9.57%	10.43%	0.05
3.	Summit Communications Limited	14.62%	9.20%	16.60%	-0.08
4.	Karnafuly Dry Dock Limited	14.89%	8.83%	11.17%	3.74
5.	Raw Tech Limited	17.99%	13.75%	22.50%	1.41
6.	Technaf Solartech Energy Limited	9.70%	6.29%	10.00%	1.55
7.	City Economic Zone Limited	10.00%	10.63%	36.26%	3.05
8.	Fiber @ Home Limited	20.84%	4.07%	N/A	4.97
9.	Bay Economic Zone Limited	11.34%	6.71%	11.71%	2.26
10.	Hoshendi Economic Zone Limited	11.00%	7.43%	8.43%	1.73
11.	Comilla Economic Zone Limited	17.29%	6.83%	10.17%	1.22
12.	Felicity IDC Limited	23.74%	11.21%	17.47%	2.79

1.3.1. Comparison of major project indicators between IPFF I and IPFF II projects

Comparing the financial indicators with the project's predecessor IPFF project, we find that the financial indicators are sound and depict strong fundamentals at the subproject level. While an accurate comparison between the two projects was not feasible given the lack of methodology for computation of the financial indicators under the predecessor IPFF project, the financial indicators of IPFF II are still sound when considering the investments made in infrastructure subprojects.

**Table 7: Comparison of financial indicators between IPFF and IPFF II**

Indicator	IPFF	IPFF II	Remarks
Debt Service Coverage Ratio	N/A	-0.08 – 4.97	The methodology for the computation of aggregate indicators for the IPFF II has been described in detail under the methodology for computation of aggregate indicators section of this Annex.

ANNEX 5. BORROWER, CO-FINANCIER AND OTHER PARTNER/STAKEHOLDER COMMENTS**Borrower's ICR****SECTION 1: PROJECT CONTEXT, DEVELOPMENT OBJECTIVES, AND DESIGN**

1. Country Background and Local Economic Context at Appraisal. Bangladesh is the easternmost country of South Asia with a population of 159.78 million (World Development Indicators 2016) inhabiting in 147,570 square kilometer. It has demonstrated a consistent pattern of growth and progress. The gross national income continued to increase and the country achieved lower-middle income status in 2015. However, the growth rate was insufficient¹⁴ to achieve its goal of becoming an upper-middle income country (UMIC) by 2021. It was projected that the overall investment rate needs to rise from 26% of GDP to 32% for a 7% growth by 2021, and to 34% for an 8% growth. Additionally, GDP growth was expected to slow to 6.2% in FY18 due to a somewhat slower growth in investment. The infrastructure gap, in terms of both quality and quantity, was a significant obstacle to reaching the growth target.

2. Rationale for World Bank Group (WBG) involvement. The rationale for the WBG involvement described in the Project Appraisal Document (PAD) was grounded on the following considerations:

- (a) Bangladesh's target of becoming an UMIC by 2021 called for high growth rate, requiring increased public and private investments beyond the prevailing levels.
- (a) The 6th Five Year Plan (FY 2011-2015) experienced smaller growth rate, explored gap in the private sector's required infrastructure spending and suggested financing through Public-Private Partnership (PPP). The 7th Five Year Plan (FY 2016-2020) necessitated increased infrastructure financing from commercial sources. However, local financial institutions had three major challenges: (a) access to foreign exchange resources; (b) shorter lending period than the economic life of the infrastructure projects; (c) reliance on variable-rate resources (deposits).
- (b) Two government owned Financial Institutions (FIs)-Bangladesh Infrastructure Finance Fund Limited (BIFFL) and Infrastructure Development Company Limited (IDCOL), were dedicated to infrastructure finance but required international standards in their operational processes.

¹⁴ Bangladesh 7th Five Year Plan, Chapter 3.2, Page 55 and Bangladesh Development Update October 2016, Page 35.



- (c) Public-Private Partnership Authority (PPPA) had an official pipeline of 44 projects at various stage of maturity. Absence of experienced transaction advisors, appointment of highly experienced financial advisors before issuing the tenders was considered important step toward the successful financing of these projects.

3. Project Development Objective. The Project Development Objective (PDO) was to increase long-term financing for infrastructure and to build capacity of the local financial institutions for promoting private sector-led infrastructure financing in Bangladesh.

4. PDO-Level Results Indicators. In the PAD, PDO-level results indicators were specified as (a) Private capital mobilized; (b) Total investments in infrastructure under IPFF II; (c) Long term debt financing for infrastructure under IPFF II; and (d) Equity investments from the private sector entrepreneurs under IPFF II. During the project restructuring in June 2023, the end target for the PDO indicator on “long term debt financing for infrastructure under IPFF II” was revised to US\$ 312,200,000.00 on account of the partial cancellation for repurpose and reallocation between components, keeping the other PDOs unchanged.

5. Intermediate Results Indicators (IRI). Like PDO-level Results Indicators, IRIs were also specified in the PAD as (a) At least 20 domestic FIs use IPFF II credit line; (b) PFIs maintain eligibility criteria; (c) Environmental & Social (E&S) capacity developed, staff trained; (d) Environmental assessments are undertaken for all infrastructure projects financed under the facility in coordination with the Department of Environment (DoE); (e) Financing volumes through innovative financial instruments deployed for financing of infrastructure; (f) The capacity of financial institutions participating in IPFF II to undertake financial analysis of infrastructure projects is strengthened - number of staff trained; (g) Female beneficiaries from IPFF II; and (h) Affected citizens' satisfaction with infrastructure subprojects (citizens in the locales impacted by the infrastructure sub-project). Later, new result indicator “Jobs supported by IPFF II with the end target number of 10,000” was introduced at the restructuring. The restructuring also redefined the IRI for “female beneficiaries from IPFF II” by replacing “directly benefiting from” with “directly employed by”, excluding short-term construction labor.

6. Project Beneficiaries. In the PAD, the private sponsors, the people at large (as end users of infrastructure services), the PFIs, BIFFL and PPPA were defined as the beneficiaries of IPFF II.

7. Project Components

Component 1: Long-Term Infrastructure Financing Component (original: US\$ 403.7 million of which US\$ 346.7 million from IDA; revised: US\$ 312.2 million of which US\$ 253.7 million from IDA).

Component 2: Technical Assistance (TA) Component (original: US\$ 13.0 million of which US\$ 10.0 million from IDA; revised: US\$ 4.5 million of which US\$ 3.0 million from IDA).

SECTION 2: KEY FACTORS AFFECTING IMPLEMENTATION AND OUTCOMES

1. Assessment of Project Design. Project design was realistic and effective. Emphasis were on (i) the market situation and market demand for pipeline development and for pricing of the IPFF II credit, (ii) commercial practices of the private sector as a guiding benchmark in reviewing the investment proposals, (iii) upstream engagement for the pipeline sub-projects, (iv) allocating resources for sector-wide capacity building especially in the area of E&S.

2. Adequacy of Government's Commitment. The GoB remained willing to fill the gap in the required infrastructure spending by the private sector as well as continue the momentum of long-term infrastructure financing created through IPFF. Consequently, the GoB provided counterpart fund to carry out IPFF II.



3. Safeguard Design. IPFF II Project involved with multilevel implementation structure and the PAD covered the safeguard issues well¹⁵, The PFIs' had to verify the sub-project's compliance with the IPFF II ESMS and prepare an Environment and Social Impact Assessment (ESIA) report in line with the standards of DoE, Bangladesh and OP 4.03 of the WB and required to be validated by an independent Technical Committee consisted of independent subject matter experts for getting NOC from the WB.

4. Pipeline Management. IPFF II's initial pipeline was concentrated with power, economic zones and ICT sectors. It was changed, specially the power sectors, due to changes of WBG's policy stance on liquid fuel-based power plants that disqualified a couple of HFO (Heavy Fuel Oil) and diesel-based power plants for financing from the Project. Later, the pipeline became more solid by incorporating other sectors and updated time to time.

5. Assessment of Risks. The body of the PAD¹⁶ included a comprehensive general risk and mitigation analysis which are:

- (a) **Political and governance risks.** The national parliamentary election was envisaged to be held midway through the project's implementation period. However, there was strong government commitment for promoting private sector-led infrastructure development, structured Project Implementation Committee (PIC), Project Steering Committee (PSC), and experienced infrastructure finance and E&S experts from the WB side. Besides, IPFF Project maintained transparency and accountability that was also visualized to be reflected in IPFF II.
- (b) **E&S risk management.** Diversified nature of sub-projects along with different geographic location created substantial E&S risks and impacts. Various measures (comprehensive ESMS, institutional capacity building etc.) were adopted to mitigate those risks.
- (c) **Crowding out local financial markets.** A strong PFI eligibility criterion, long-term infrastructure funding including foreign currencies has, in fact, crowded in other financial sources rather than crowding out. The overall share of IPFF II financing amounted to be around 30% of the total financing of the sub-projects.
- (c) **Concentration to specific sector.** During IPFF Project, the concentration was on power sector. However, IPFF II Project was structured with diversified infrastructure sectors e.g., waste management, renewable energy, economic zones, internet backbone, and port development.
- (d) **Credit risk.** GOB endorsed infrastructure projects were funded and all the risks was assumed by PFIs.

6. Implementation. The project disbursed US\$ 284.53 million (91%) out of the total allocation of US\$ 312.70 million under component 1. The entire allocation was targeted to be disbursed; however, at the very last moment having the WB's NOC, the pipeline sub-project Summit Towers Limited (STL) stayed back by pausing all their activities regarding the Project Bond and Zero Coupon Bond; otherwise achievement would be 100%. Nonetheless, the entire IDA allocation for component 1 was disbursed which resulted in funding 5 private economic zones, 4 ICT sub-projects, 1 solar power plant, 1 dry-dock sub-project and 1 solid waste management sub-project. On the other hand, implementation of component 2 was moderate; utilized US\$ 1.88 million (41.78%) out of the total allocation of US\$ 4.5 million; majority of the utilization was from PIU US\$ 1.71 million (38%) and the rest was from BIFFL US\$ 0.188 million (3.73%); PPPA failed to absorb any amount from their allocation. PIU's utilization was hindered mainly by the prevalence of COVID-19 and later Government's restriction on foreign training; a large portion of the allocation for training/ seminar/workshop remained unutilized. Apart from this, US\$ 1.14 million of the TA allocation was reserved for price and physical contingency which was also remained unutilized.

7. Restructuring. IPFF II project was restructured on 21 June, 2023 due to the following reasons:

- (a) Repurpose of US\$ 100 million (equivalent) from IPFF II component 1 (Credit No. 6005-BD) with a view to recommitting the amount to other strategic priorities;

¹⁵ PAD, Page 24

¹⁶ PAD, Pages 15-17.



- (a) Reallocation of US\$ 7 million (equivalent) of IDA funding from component 2 to component 1 and US\$ 1.5 million (equivalent) of GoB counterpart funding from component 2 to component 1.

8. Factors that Contributed to Successful Implementation. The following factors contributed significantly for the successful implementation:

- (a) Efficient Project Implementation Unit (PIU).
- (a) Good collaboration among the stakeholders.
- (b) Strong financial incentives for the private sector.
- (c) Good monitoring framework for project implementation.
- (d) Timely capacity building initiatives

9. Mid-Term Review (MTR). The MTR mission (held on December 10-15, 2020 with some portion on January 2021) highlighted the on-lending component's progress as well as TA component's progress on goods procurements; however, procurement of the service packages was slow in progress at two TA recipients' end (BIFFL and the PPPA). MTR, therefore, rated the project as Moderately Satisfactory (MS) and recommended initiating a project restructuring by partial cancellation of US\$ 50-55 million. However, the PSC and PIC directed PIU for project tenure extension of two more years from the closing date. Later, project tenure was extended to 30 April, 2024 and restructured in June, 2023.

10. Monitoring and Evaluation (M & E) Design, Implementation, and Utilization. A strong M & E framework was integrated into the project's various components. The WB and PIU established the standard formats. PIU was responsible for overseeing and coordinating the process, reporting the updates of M&E to PSC, PIC and the WB. Besides, citizen engagement surveys were to integrate into the project for revealing the beneficiary feedback. An M&E specialist was designed to conduct citizen engagement surveys. The M&E was systematic; PIU submitted the updates of M&E, quarterly/semi-annual reports with results for output and outcome indicators. Annual external audit was conducted by FAPAD. Besides, quarterly meetings of PSC and PIC ensured that the M&E was in track. Apart from these, the WB team was in constant touch with the PIU and discussed the implementation status.

SECTION 3: ASSESSMENT OF OUTCOMES

1. Relevance of Objectives, Design and Implementation

Rating: High relevance

The project design was highly relevant with the project objectives because it was set on the implementation needs of the country's infrastructure development. The project incorporated E&S risk management in the infrastructure financing and TA supports that would strengthen long-term sustainability including the knowledge base in the infrastructure finance ecosystem. It also addressed the lessons learned from IPFF Project that created a momentum in promoting private sector-led infrastructure financing in Bangladesh.

2. Achievement of Project Development Objectives

Efficacy Rating: Satisfactory

The PDO was in line with the WB's Country Partnership Framework (CPF) for Bangladesh (FY 2016-2020). PDO was clear and the achievement was satisfactory. Total disbursement exceeds 90%; all the four PDO indicators and seven IRIs are fully met. Besides, the project was almost in the final stage of financing a sub-project against innovative financing instrument, but the private sponsor stayed back at the last moment by pausing all the activities of receiving IPFF II facility loan.

2.1 Learning and demonstration effects. WBG/IFC OP 4.03 (Performance Standards), the eight PS, was introduced for the first time in Bangladesh. Successful implementation of the PS called for a steep learning curve for all the stakeholders. The sponsors and the PFIs were unacquainted with the format whereas local E&S consulting firms hardly had practical experience in conducting the impact assessment. IPFF II, with its capacity building events, demonstrated that appropriate



management systems to address E&S risks and respective mitigation plan, as well as enhancing capacity for implementing these systems at all key levels led to reduced E&S risk/vulnerability. IPFF II extended facility loan to 12 sub-projects whose ESIA preparation was challenging for their sector-wise differences.

2.2 Achievement of Component 1 Objectives

Like IPFF, IPFF II Project also facilitated augmenting key infrastructure projects as described below:

Private Economic Zone. IPFF II has supported developing 5 private economic zones (EZ). Four EZs are operational and one is under development. 19,730 employees are working in those EZs.

Information and Communication Technology (ICT). IPFF II has supported 4 sub-projects under ICT sector. The first IPFF II funded sub-project is Bangladesh Technosity Limited (BTL), the first ever Hi-Tech Park in Bangladesh. Felicity IDC Limited is another IPFF II funded TIER-III data center. IPFF II has also supported two NTTN operators, Summit Communications Limited (SCL) and Fiber @ Home Limited (F@H). Financing to these sub-projects has created around 3,922 employment opportunities. Moreover, SCL and F@H have 612 and 350 ISP clients respectively where around 67,320 and 38,500 employees are working.

Solid Waste Management. IPFF II has supported a solid waste management sub-project that recycle consumer Polyethylene Terephthalate (PET) bottle with the capacity of recycling over 5000MT of waste PET bottles per year and turn it into usable raw material recycled polyester staple fiber (rPSF).

Dry-Dock. IPFF II has funded Karnafuly Dry Dock Limited (KDDL), country's first private dry dock with the capacity of 10,000 DWT (deadweight tonnage). KDDL is also building four jetties so that ships do not have to stay afloat day after day for docking.

Renewable Energy. IPFF II has supported a 20 MW national grid-tied solar power plant which is supplying 20 MW of power to the national grid for 20 years, and is expected to achieve carbon emission savings of approximately 400,000 tons.

2.3 Achievement of Component 2 Objectives. IPFF II Project's TA component was for providing TA support to PPP Authority, BIFFL and PIU as well as enhancing and building the capacity of the stakeholders in order to strengthen the ecosystem of long-term infrastructure financing in Bangladesh. PIU and BIFFL utilized their respective TA allocation (not the entire allocation); PIU procured its' all 19 goods packages and 9 service packages (one goods package later discarded) whereas BIFFL procured their entire 3 service packages. However, PPPA could not utilize any of their allocation. Its' Package S8 (Legal Firm) took around 2 years from initiation of the procurement process to negotiation, but it could not procure due to unsuccessful negotiations and the Proposal Evaluation Committee (PEC) recommended for re-tendering. Later, the WB limited the scope of service and advised to re-negotiate with the firm, but the PPPA decided not to re-negotiate as the quoted price of the firm was relatively high as per the PEC's opinion. Consequently, PPPA proposed four Individual Consultants instead of Package S8 and the ToR for new 4 packages was cleared by the WB on 12.06.2023. Later, PPPA vide letter dated 09.08.2023 informed that there would be limited chance of getting qualified candidates and desired services unless IPFF II Project is extended further; otherwise, they would arrange from another project. PPPA's letter was shared with the WB, Finance Division and Planning Commission on 20.08.2023.

Besides, a total of 484 officials of different ministries, agencies and organizations (i.e., PIU, BB, FD, ERD, Planning Commission, PPPA, FAPAD, IMED, PFIs, Environmental Consulting Firms, Sub-projects) have been trained through 22 events comprising 6 foreign trainings, 4 online trainings, 8 local trainings and 4 local workshops. The event numbers could have been larger, but the prevalence of COVID-19 for two years and later government's restriction on foreign training impeded the PIU in arranging foreign trainings.

Efficiency Rating: Satisfactory



All the sub-projects were financed after all the due diligence and all these sub-projects have shown positive economic indicators e.g., net profit margin, return on assets, return on equity and internal rates of return (ranged between 9.70-23.74%). Besides, capacity building initiatives under TA component were carried out in tandem with the plan and the prevailing situation.

Summary of overall outcome rating

Relevance	Efficacy	Efficiency	Overall outcome rating
High	Satisfactory	Satisfactory	Satisfactory

SECTION 4: ASSESSMENT OF RISK TO DEVELOPMENT OUTCOME

Rating: Moderate

The overall risk rating was noted as moderate in the PAD. The project design included innovative aspects and significant advisory support to mitigate the associated technical risks; the GoB's strategies and policies to support new investments into infrastructure mitigated the political and governance risk. Institutional capacity risks have been mitigated by engaging experienced and capable officials of BB in the PIU that successfully completed the IPFF Project. Besides, there were E&S risks for which WB PS and a comprehensive ESMS were introduced as mitigating measures.

SECTION 5: ASSESSMENT OF BANK AND BORROWER PERFORMANCE

Bank Performance Rating: Satisfactory

Bank Performance in Ensuring Quality at Entry and Supervision. During preparation and appraisal, the Bank's performance was deemed satisfactory. They learned from past experiences with similar projects, paid close attention to risks, and ensured the project was well-planned from the beginning. Besides, the team actively identified issues and risks, collaborating with the borrower to find solutions. However, delays in responding to on-lending and procurement issues occurred, sometimes taking several months to resolve. Improved communication later streamlined these processes.

Borrower Performance Rating: Satisfactory

Government performance. The GoB took proactive steps during project initiation and consistently maintained their commitment throughout the implementation period, working closely with the PIU. Drawing from the IPFF Project, they designed the IPFF II Project to remain adaptable to changes in project parameters in response to market conditions and demand. Additionally, the government maintained consistent communication with project stakeholders.

Implementing agency performance. The IPFF II Project facilitated the development of E&S screening guidelines and the recruitment of E&S experts within the PIU. Several initiatives were undertaken to strengthen the capacity-building process. The PIU managed all aspects of the projects, including financial management, procurement arrangements, and reporting activities throughout the tenure of the project.

SECTION 6: LESSONS LEARNED

Effective communication among stakeholders is pivotal for success. Proper communications ensure alignment of goals, facilitates decision-making, and fosters collaboration. Furthermore, proactive involvements of stakeholders make the project successful. This calls for developing an effective ecosystem between/among the parties in such a way that they feel themselves as a part of it.



Capacity building is essential for making the institution self-sufficient to run in the market. Even capacity building initiatives are inevitable for the project's learning process and this support should be started from the inception so that stakeholders gain practical knowledge through hands-on experience at different project stages. Besides, there should have some exposure visit of the similar types of the WB funded projects in other countries/regions, as a part of the project implementation process, so that the key techniques and process can be elicited from there and replicate in the project, if applicable with some customization.

Pipeline sub-project management is crucial for the overall success of a project. In fact, a robust pipeline facilitates proactive engagement of the PFIs and borrowers in securing funding. While some sub-projects initially led the way, others gained momentum over time to achieve success.

There is a need of qualified ESIA consultants. It was noticed that only a few firms had such expertise to assess and prepare the ESIA report and they were always on high demand and in many cases unavailable. Individual E&S consultant had to hire for IPFF II Project for supporting and developing the capacity of the E&S consultants and the PFIs, a guideline/ToR for ESIA Study of Industrial Estates (IE)/Economic Zones/Export Processing Zones/Industrial Parks was developed to facilitate the consultants.

Inter-ministerial coordination is a key to success for any project. In project related issues, time to time approvals from different ministries/agencies, even from the WB, were required and obtained. However, considering the merit and gravity of the matter, there often exist scopes for improving the speed of inter-ministerial communication and approval process.

Annual audit conducted by the FAPAD plays a vital role for project regularities and its effectiveness. Generally, the audit is conducted after the end of each financial year during the project implementation period. However, sometimes PIU team had to put extra effort to make the concerned audit team understood the scope and responsibilities of the stakeholders as per the project document/ financial agreement/operations manual. The settlement of audit objections/observations takes quite a long time and reduces the productivity. The objection could be resolved in the exit meeting (normally held in December every year) if it is carried in presence of relevant representative of the WB. Time will be saved; productivity will be increased and the negative perception on project will also be dispelled.

Smooth implementation depends on adherence to project's main objectives. Since project is time bound goal-oriented activities, its implementation should be free from aligning with other agenda. Digression of the project agenda could hamper obtaining key objectives. Key consideration should be provided to the implementing agency's scope. Otherwise, achievement of the main objectives will be hindered.

ANNEX 5. LIST OF SUBPROJECTS FINANCED UNDER THE IPFF II

1. Bangladesh Technosity Limited (BTL)

Bangladesh Technosity Limited (BTL) is situated in the premises of Bangabandhu Hi-Tech City (BHTC, earlier known as Kaliakoir Hi-Tech Park), Kaliakoir, Gazipur. BHTC is the first Special Economic Zone for IT/ ITES and Hi-Tech Industry in Bangladesh which is being built and developed in Design, Build, Finance, Own, Operate & Transfer (DBFOOT) under PPP model where world class technology park facility including industrial space, accommodation, uninterrupted power supply, high speed telecommunication facility, transportation, customs bonded facility, gas & other utilities, hotel convention center, knowledge centers, incubators, one stop services etc. would be available. BTL signed Concession Agreement with Bangladesh Hi-Tech Park Authority (BHTPA) on August 11, 2015 for developing and operating the Block-3 of BHTC for 40 years. Total project cost for developing the Block-3 is USD 23.81 million which consist of equity USD 6.36 million, IPFF II facility loan USD 11.09 million and non-IPFF II USD 6.36 million. IPFF II facility loan was disbursed on September 05, 2019



and the entire facility loan was from the IDA allocation. The facility loan was disbursed in both USD and BDT for 20 years with 3 years of grace period (GP). The fund has been used for land and park development, construction of Multi-tenant Building, data center and steel structure Industrial building etc. along with preparation of power station and industrial shade. 13 (thirteen) companies have started their operations in the premises of BTL where 1,208 employees are working out of which 176 employees are female.

1. Meghna Industrial Economic Zone Limited (MIEZL)

Meghna Industrial Economic Zone Limited (MIEZL), a sister concern of Meghna Group of Industries (MGI), has developed the Meghna Industrial Economic Zone (MIEZ) at Sonargaon, Narayanganj with a total area of 110 acres of land right on the Dhaka - Chattagram Highway. MIEZ has been established as the most modern Economic Zone in Bangladesh with all the necessary facilities including uninterrupted supply of electricity, gas, water, CETP along with modern amenities like Investors Recreation Club, Convention Hall, Helipad, etc. Total project cost for developing the MIEZ is USD 68.65 million which consist of equity USD 19.98 million, IPFF II facility loan USD 33.30 million and non-IPFF II USD 15.37 million. IPFF II facility loan was disbursed on June 30, 2020 for 12 years with 2 years principal moratorium & 1 year interest moratorium and the entire facility loan was from IDA. The facility loan was disbursed in BDT. The industrial economic zone is operational and 21 (twenty one) companies have started their operations where 10 companies are foreign. As on April, 2024, a total of 13,653 employees are working where 2,561 employees are female.

2. Summit Communications Limited (SCL)

Summit Communications Limited (SCL) is a business concern of Summit Holdings Limited, a sister concern of Summit Group, that incorporated on March 22, 2009. It is an end-to-end infrastructure support provider that received Nationwide Telecommunication Transmission Network (NTTN) from Bangladesh Telecommunication Regulatory Commission (BTRC) on December 09, 2009. The company has also received licenses of International Terrestrial Cable (ITC), International Internet Gateway (IIG), Interconnection Exchange (ICX) and National Internet Exchange (NIX). It started NTTN commercial operation on January 01, 2010. SCL is now managing over 47,000+ km of network while serving 12,000 links, 4,774 TELCO BTS, 618 long haul links for TELCOs under its NTTN license. SCL availed IPFF II facility loan of USD 38.32 million in order to expand its coverage for additional 9,617 km and upgrade its network capacity over a distance of 1,154 km along with replacing major equipments for service level up-gradation as licensing obligation for network expansion. Total project cost for this network expansion was USD 91.96 million comprising equity of USD 35.80 million, IPFF II facility loan USD 38.32 million, non-IPFF II term loan from FIs USD 17.84 million. IPFF II facility loan was disbursed on June 29, 2021 in BDT for 10 years with 2 years principal moratorium & 1 year interest moratorium from the IDA allocation. SCL already completed 100% task of its overhead expansion and upgradation, multiplexer installation, BTS connectivity, router installation, access PoP construction, switch installation in access Pop etc. In addition to that, out of total 1182 km of underground optical fiber cable expansion, SCL has completed 311 km up to March 31, 2024. As on April, 2024, a total of 1,513 employees are working where 65 employees are female. Besides, SCL has 612 ISP clients where around 67,320 employees are working.

3. Karnafuly Dry Dock Limited (KDDL)

Karnafuly Dry Dock Limited (KDDL), after obtaining the permission from Chittagong Port Authority (CPA) on December 19, 2013, is establishing a dry dock for ship building and repairing using the riverfront of Karnafuly River at Badalpura, Marine Academy, Anowara, Chattogram. The Dry Dock will have the capacity of 100000 DWT e.g., Aframax tankers and/or Panamax bulk carriers which will be 5 times larger than existing Chittagong Dry Dock. Total project cost is USD 99.13 million comprising equity USD 59.13 million and IPFF II facility loan of USD 39.99 million; there is no non-IPFF II portion. IPFF II facility loan was disbursed in four tranches for 15 years with 3 years GP (door to door maturity) in both USD and BDT under



IDA allocation for procurement of capital machineries, equipment and raw materials etc. and/or payment for fixed assets procurement, civil construction, dredging and reclamation works, installation of machineries and equipment, payment of consultant fees etc. The overall progress of the construction work is 76.77% as of April 2024 and the subproject is supposed to complete construction of Dry Dock by December 2024. KDDL will be the first of its kind in the private sector of Bangladesh and is expected to generate significant foreign currency earnings and contribute significantly to employment generation. Currently, 277 employees are working in KDDL.

4. Raw Tech Limited (RTL)

Raw Tech Limited (RTL) is a private company incorporated on February 07, 2016. It is one of the leading recycled polyester staple fiber (rPSF) manufacturers in Bangladesh. They started constructing a post-consumer Polyethylene Terephthalate (PET) bottle recycling plant at Bhaluka, Mymensingh by recycling all of this plastic waste and turned it into usable raw material rPSF. The unit has a cumulative capacity of recycling over 5000MT of waste PET bottles per year. RTL availed IPFF II facility loan of USD 2.09 million on September 29, 2021 under solid waste management sector. Total project cost was USD 4.51 million where equity was USD 1.57 million, IPFF II was USD 2.069 million and Non-IPFF II was USD 0.85 million. Entire IPFF II facility loan was from the IDA allocation. The facility loan was disbursed in BDT for 10 years with 2 years principal moratorium & 1 year interest moratorium. The project started the construction in May 2019 and commenced its operation from October 2022 and now is fully operational. As on April, 2024, a total of 144 employees are working where 06 employees are female.

5. Technaf SolarTech Energy Limited (TSEL)

Technaf SolarTech Energy Limited (TSEL) is a 20MW grid tied solar power plant located at Alikhali, South Nhila, Teknaf, Cox's Bazar. TSEL received license on May 19, 2016. Signed the Power Purchase Agreement (PPA) on February 09, 2017, TSEL is providing electricity to the national grid from September 13, 2018. Total project cost was USD 35.56 million comprising equity of USD 11.04 million, IPFF II facility loan USD 17.78 million, non-IPFF II term loan from FIs USD 6.74 million. TSEL availed IPFF II facility loan of USD 17.78 million on March 7, 2022 for 13 years in order to pay off the prevailing high cost borrowings from financial institutions in USD and BDT. The entire IPFF II facility loan was in USD from IDA allocation. Currently, 30 employees including 1 female are working in TSEL.

6. City Economic Zone Limited (CEZL)

City Economic Zone Limited (CEZL), a sister concern of City Group, has developed the City Economic Zone (CEZ) at Rupshi, Rupganj, Narayanganj with a total area of 78.00 acres of land. Incorporated on June 06, 2017, CEZL received license from BEZA on January 23, 2018 to set up the economic zone and started commercial operation since September 03, 2018. Total project cost for developing the economic zone was USD 198.82 million which consist of equity USD 117.05 million, IPFF II facility loan USD 36.58 million and non-IPFF II USD 45.19 million. IPFF II facility loan was disbursed on June 29, 2022 for 15 years with 3 years of GP and the facility loan was from both IDA and GoB counterpart fund. The facility loan was disbursed in BDT. The economic zone is operational with 8 companies with their production facilities. As on April, 2024, a total of 3,672 employees are working where 692 employees are female.

7. Fiber @ Home Limited (F@H)

Fiber@Home Limited (F@H) is another NTTN service providers in Bangladesh that received NTTN license from BTRC on January 07, 2009 in order to develop, build, operate and maintain nationwide telecommunications transmission network. Incorporated on March 19, 2008, F@H started its commercial operation in 2011 and they have established 161 central offices, 252 back bone interfaces, 37 co-location centers monitoring an extensive fiber-path of 48,500 kilometer (km)



located in a diversified ways with redundant devices which cover all major cities as well as all districts covering 489 Upazillas and 2,800 Unions. For the licensing obligation, F@H was required to continuously expand and upgrade the network and therefore, they planned to deploy 2,170 km of underground cable, 4,090 km of overhead cable, upgrade the capacity of its active network by 30,300 GPS and new requirements for 2,187 units of IP Transmission Equipment. For this network expansion and upgradation, F@H's total project cost was USD 37.12 million comprising equity of USD 9.63 million, IPFF II facility loan USD 18.56 million, non-IPFF II term loan from FIs USD 8.93 million. IPFF II facility loan was disbursed on May 10, 2023 in BDT from the IDA allocation under component 1 for 15 years with 2 years principal moratorium & 1 year interest moratorium. The expansion work started in 2020 and completed in December 2023. As on April, 2024, a total of 1,158 employees are working where 38 employees are female. F@H has 350 ISP clients where around 38,500 employees are working.

8. Bay Economic Zone Limited (BEZL)

Bay Economic Zone Limited (BEZL), a concern of Bay Group, is developing Bay Economic Zone over an area of approximately 37.59 acres (+/- 5%) of land in Dewaliabari, Konabari, Gazipur. They received License from BEZA in April 24, 2017. Overall progress of developing the economic zone is 82%. The economic zone will be completed by December 2024. Total project cost is USD 101.58 million which consist of equity USD 61.76 million and IPFF II facility loan USD 39.82 million. IPFF II facility loan was disbursed in both USD and BDT in two tranches on June 26, 2023 and December 27, 2023 respectively for 15 years with 3 years GP and the source of facility loan was from both IDA and GoB counterpart fund. IPFF II facility was disbursed for the procurement of capital machinery, vehicles, utilities; civil construction cost and other capital expenditure, settlement of the LC and the Bridge Finance availed. As on April, 2024, a total of 1,957 employees are working where 899 employees are female.

9. Hoshendi Economic Zone Limited (HEZL)

Hoshendi Economic Zone Limited (HEZL), another concern of City Group, is developing Hoshendi Economic Zone at Char Betaki, Hoshendi, Gazaria, Munshiganj. BEZA issued license in favour of HEZL on January 01, 2020 for the purpose of establishment, development, operation, maintenance and promotion of Hoshendi Economic Zone over an area of approximately 108.057 acres of land. HEZL intends to develop on-site and off-site facilities for the economic zone (EZ) so that ready to develop land is available for establishing industries and developing EZ. The objective of HEZ is to provide all necessary facilities to the investors for establishment of manufacturing concerns. The EZ will establish necessary supporting infrastructure that would be required for operation. 95% of the construction work has been completed and the rest is expected to be completed by December 2024. Total project cost is USD 204.64 million comprising equity of USD 114.87 million, IPFF II facility loan USD 19.32 million, non-IPFF II term loan (from FIs) USD 70.45 million. IPFF II facility loan was disbursed in BDT on January 04, 2024 for 15 years with 3 years GP. The source of the facility loan was IDA. As on April, 2024, a total of 350 employees are working in the economic zone where 46 employees are female.

10. Comilla Economic Zone Limited (CoEZL)

Comilla Economic Zone Limited (CoEZL), another sister concern of MGI, is developing Comilla Economic Zone at Sonar Char, Cumilla, 600 meters from the Dhaka-Chattogram four lane highway and 4.5 Kilometer from the Meghna Bridge 1. CoEZL received License from BEZA on April 10, 2022 for the purpose of establishment, development, operation, maintenance and promotion of Comilla Economic Zone on 246.3615 acres of land; later additional 113.78 acres (approx.) of land was acquired for expansion of the zone. Total project cost is USD 82.20 million comprising equity of USD 28.69 million, IPFF II facility loan USD 24.23 million, non-IPFF II term loan (from FIs) USD 29.28 million. IPFF II facility loan was disbursed in BDT on April 04, 2024 and April 09, 2024 for 12 years with 3 years GP. The source of the facility loan was IDA as well as the GoB counterpart



fund. CoEZ's basic works for economic zone development has been completed and auxiliary works e.g., STP, ETP, CETP, WTP etc. has been scheduled for completion during June-December, 2024. However, CoEZ's COD has been declared as December 31, 2023. CoEZL already leased out plots to two unit investors: Meghna Glass Industries Limited and Meghna Steel Re-rolling Mill Limited which occupies about 155.28 acre of land. As on April, 2024, a total of 98 employees are working in the economic zone including the employees of CoEZL.

11. Felicity IDC Limited (FIDCL)

Felicity IDC Limited (FIDCL) is a TIER-III data center located at Bangabandhu Hi-Tech City, Kaliakair. Incorporated in May 2019 with the goal to focus on data collocation business in Bangladesh, FIDCL commenced operations on January 30, 2024 with 250 racks. There would be another 250 racks which has been set to be completed by December, 2024. The data center aims to provide 24-hour physical security, network and IT support, and environmental control, enhancing data storage and equipment support. The establishment of this center is expected to significantly reduce data travel time and costs for users, leveraging the internet infrastructure of NTTN of Fiber @ Home Limited. Total project cost for establishing the data center with 500 racks capacity is USD 15.71 million which consist of equity USD 5.60 million, IPFF II facility loan USD 3.45 million and non-IPFF II USD 6.66 million. IPFF II facility loan was disbursed on April 30, 2024 for 15 years with 2 years GP and the source of facility loan was from the GoB counterpart fund. As on April, 2024, a total of 43 employees are working where 3 employees are female.

Table 8: Exposure under IPFF II

SL.	PFI	MFA Signing Date	BDT (Crores)	USD (Million)	Lead / Security Agent of	Syndication Member of
1	Trust Bank Limited	14-Oct-18	342.70	7.58	-	BTL, MIEZL, KDDL, SCL, CEZL *
2	Midland Bank PLC	7-Sep-19	335.32	0.72	MIEZL, SCL, F @ H	CEZL, BEZL
3	United Commercial Bank PLC	7-Aug-18	303.21	3.00	BTL, HEZL	MIEZL, SCL, CEZL, F @H, BEZL, CoEZL, FIDCL
4	Lanka-Bangla Finance PLC	2-Jan-22	204.45		-	F @H, BEZL, FIDCL
5	IDLC Finance PLC	7-Aug-18	194.36		KDDL, CEZL	SCL, F @ H, CoEZL
6	Mutual Trust Bank PLC	7-Aug-18	169.52	1.55	CoEZL	BEZL, FIDCL
7	BIFFL	7-Aug-18	151.84	10.00	RTL	BTL, KDDL, TSEL
8	Bank Asia PLC	14-Oct-18	145.11		-	MIEZL, SCL, CEZL
9	IDCOL	7-Aug-18	126.77		-	MIEZL, BEZL
10	IPDC Finance Limited	2-Oct-19	126.62		-	CEZL, BEZL, CoEZL, FIDCL
11	Dhaka Bank PLC	7-Aug-18	120.23	4.12	-	KDDL
12	Eastern Bank PLC	7-Aug-18	94.84	2.44	-	F @ H, BEZL
13	IIDFC PLC	7-Aug-18	91.25		MIEZL, SCL	BTL
14	City Bank PLC	7-Aug-18	89.34	4.40	-	KDDL
15	Alliance Finance PLC	6-May-21	75.00		F @ H, FIDCL	HEZL
16	One Bank PLC	7-Aug-18	66.91	7.78	TSEL	-



17	Brac Bank PLC	14-Oct-18	62.70		-	CoEZL
18	Prime Bank PLC	7-Aug-18	40.77	1.29	BEZL	-
	Total		2,740.96	42.88		

ANNEX 6. SUPPORTING DOCUMENTS

- ISR Sequence # 1-11
- Aide Memoires
- Project Appraisal Document Bangladesh Investment Promotion and Financing Facility Project II (IPFF II) (P159429)